



THE ANNUAL REPORT

ROCKSOURCE



THE COMPANY

Rocksource is a Norwegian independent oil and gas company focusing on exploration.



THE DIRECTORS' REPORT

In 2012 Rocksource made strategic adjustments and prepared for a new drilling campaign which is now underway.



THE FIGURES

The financials for 2012 were dominated by a farm-down transaction with Valiant Petroleum.

THE CONTENT

THE COMPANY	5
Rocksource at a glance	7
Highlights	8
CEO's comment	10
Management	12
Corporate governance	14
Shareholder policy	18
 THE BOARD OF DIRECTORS' REPORT	 20
 THE FIGURES	 30
Financial calendar	30
Consolidated statements and notes	31
Rocksource ASA statements and notes	74
Responsibility statement	93
Auditor's report	94





THE COMPANY

Rocksource at a glance

Highlights

CEO's comment

Management

Corporate governance

Shareholder policy



The Norwegian Continental Shelf (NCS) is a core area for Rocksource. The map illustrates the Company's acreage position on the NCS as of April 2013.

Rocksource at a glance

Rocksource is an exploration company focusing on the Norwegian Continental Shelf (NCS). The Company's exploration model is to apply in depth geological knowledge complemented by advanced seismic and EM analysis supported by commercial expertise and capital discipline. Our goal is to take part in commercial discoveries, divest and re-allocate funds towards new exploration opportunities.

The Company currently holds 14 licences on the NCS and 12 leases in the Gulf of Mexico (GoM). Rocksource is partner in the Norvarg discovery on the NCS and owns 100 per cent of the Trident discovery in the GoM.

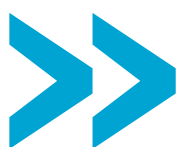
The Company has its headquarters in Bergen and currently employs approximately 35 highly skilled professionals. Rocksource is listed on the Oslo Stock Exchange with ticker RGT.

Highlights



OPERATIONAL

- › New exploration model focusing on the NCS
- › Solid progress on firming up wells for drilling in 2013 and beyond
- › Two awards in the NCS APA 2011 Licensing Round
- › Applications submitted in NCS 22nd Licensing Round



FINANCIAL

- › Full year net loss of NOK 202 million versus a net loss in 2011 of NOK 178 million
- › NCS Asset transaction with Valiant Petroleum secured refinancing of Company
- › Bond debt repaid in full
- › Year-end working capital of NOK 149 million

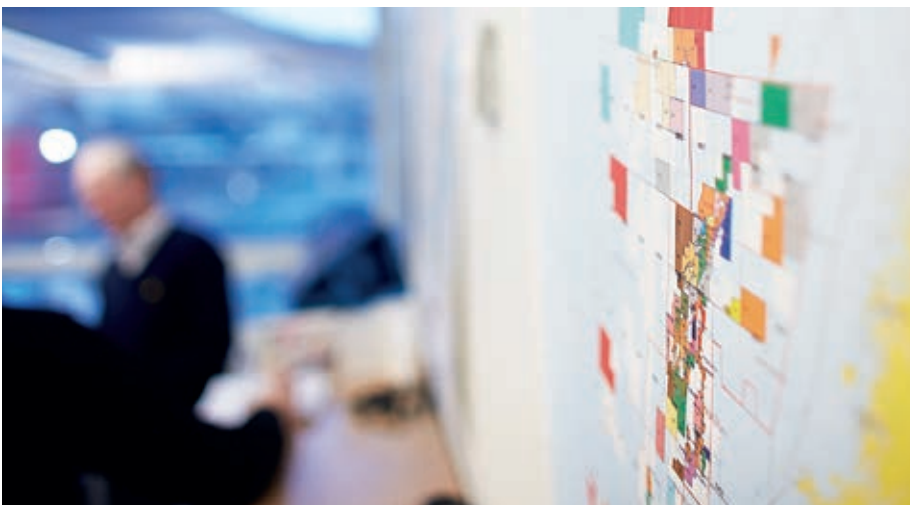


ORGANISATIONAL

- › Christopher Spencer, former Shell and BP, appointed new CEO
- › New Board in place with significant E&P and financing competence
- › Costs significantly reduced following completion of cost cutting programme
- › Corporate restructuring completed 31 December releasing significant tax positions



*Rocksource's exploration model is to apply
in depth geological knowledge,
complemented by advanced seismic and
electromagnetic ("EM") analysis.*



CEO's comment

Dear fellow shareholder,

Rocksource made solid progress in 2012. The Company entered the year with no firm wells; with NOK 130 million in outstanding bond debt; and with too high G&A costs. Now, some 15 months later, Rocksource has built a drilling programme with five wells approved over the next two years, the bond has been repaid, G&A markedly reduced, and the Company is funded into 2014.

Key to the financial achievements in 2012 was the asset transaction with Valiant Petroleum announced in March. Given the historically low share price throughout most of the year, the lack of firm wells, and the need to raise funds to repay debt, it was considered that portfolio action was preferable to what would have been a highly dilutive equity raise. This was achieved through the transaction with Valiant, which enabled the Company to repay the remaining bond debt, and provides a "carry fund" that will cover the cost of the planned wells for this year. Furthermore, the implied value of Rocksource's NCS portfolio from the transaction represented a premium to the market valuation of the entire Rocksource group.

Operationally, I stated at the beginning of 2012 that the prime focus for the Company's exploration activities would be the NCS. A goal was set to build a sustainable drilling programme of three to four good quality NCS wells per year, commencing in 2013. Significant progress has been made towards realising this goal with three wells sanctioned for drilling this year and, so far, two more lined-up for 2014. As the drilling programme evolves, Rocksource's strategy is to expose the Company to a portfolio of prospects with a good balance of risk and reward. That is to say, the Company is seeking to establish an optimal combination of higher risk/higher reward and lower risk/lower reward opportunities. Rocksource is also set to add to the drilling programme both from the existing portfolio as well as through farm-ins. Participation in licensing rounds will add to the longer term opportunity set.

Consistent with the refocusing on NCS, the decision was taken both to exit the ACG Profond PSC offshore West Africa, and to relinquish all but one of the UK licences. The Company still believes that the Gulf of Mexico portfolio contains leases with significant value potential, and we are actively pursuing partners to help mature the portfolio.

Essential to the success of an exploration company is its in-house technical competencies. Rocksource's exploration model of applying in depth geological knowledge, complemented by advanced seismic and electromagnetic analysis, differentiates it from many of its peers. In 2012, whilst reducing total head-count, the Company has enhanced its technical capabilities and incorporated valuable lessons from the 2011 campaign. There have also been several changes in key positions within the technical team.

Reflecting on my first year as CEO, I am proud of what has been accomplished. This has been a real team effort, and I would like to thank all in Rocksource who have worked hard to get the Company to where it is today. I believe that together the team has created a firm foundation from which to create value for shareholders. However, there is no room for complacency, and through 2013 it is important to build on this foundation and develop the Company to the next level.

I would like to thank you all for your continued support.

Yours sincerely,



Christopher Spencer
Chief Executive Officer



*This has been a real team effort,
and I would like to thank all in Rocksource
who have worked hard to get the Company
to where it is today.*

Management



Christopher Spencer
CEO

Christopher Spencer has over twenty years of industry experience with Shell and BP. In this time, he held positions in engineering, commercial and business development. He has broad international experience, having worked on oil and gas projects and opportunities in the U.K., Norway, Netherlands, Australia, India and Indonesia. He is a chartered engineer through the Institute of Chemical Engineers (U.K.).



Tommy Sundt
CFO

Tommy Sundt has been Chief Financial Officer in Rocksource since the inception of the Company in 2004. Before joining Rocksource he worked with a business development company specializing in strategic and entrepreneurial activities. Prior Mr. Sundt worked as a financial analyst and portfolio manager in an investment company and as auditor with Deloitte. Mr. Sundt holds an MSc degree in economics and business administration.



Annelin Norenes Haaland
Exploration Manager NCS

Annelin Norenes Haaland has 17 years of industry experience with Norsk Hydro and Statoil, three of which were as a project leader and thereafter department manager at the research centre and in exploration in Statoil (Hydro). She has several years of experience within R&D working with geophysics and IOR development and integrated work processes. Previous experience includes positions as team leader and production geophysicist in Hydro at the Troll field. She has a Cand Scient degree in Reservoir Geophysics.



Per Anders Muri
VP Commercial &
Communication

Per Anders Muri was previously head of IR and Communications with oil company Revus Energy (now Wintershall Norway). Per Anders has extensive experience as a communications adviser, among others with Burson-Marsteller. His background includes several years of media experience, as a journalist and senior editor with Reuters and he has worked as a stock broker and equity analyst with Handelsbanken Capital Markets.



Morten Haukebø
VP HSSE&Q

Morten Haukebø has over twenty five years of industry experience with a wide range of companies. His background includes several years within oil related HSSE&Q. His previous position as Operation Support Manager in Odfjell Drilling covered HSSE&Q, Purchasing, Logistics, Administration, IT, Maintenance and Authority coordination.

Mr. Haukebø holds a basic law degree from Bergen University, and a Master Module from BI in Management, and both a Diploma and Master degree in Security Management from Loughborough University of Technology. He is also an ISO / EOQ accredited auditor.



Rolf Monsen
CTO

Rolf Monsen joined Rocksource in 2006 after 21 years in Statoil ASA where his last position was G&G manager for the Kvitebjørn gas field. Mr. Monsen has worked as a G&G manager for several producing fields in Norway. He has also worked international exploration in the BP Statoil alliance, which resulted in several successful giant discoveries in the Caspian sea. He was also seconded to the Abgami field development project (Nigeria) led by Chevron in Houston. He is a graduate MSc. petroleum prospecting from NTNU, Trondheim.

Corporate governance

Rocksource ASA ("Rocksource" or the "Company") continuously aims to ensure compliance with the Code of Practice for Corporate Governance of 23 October 2012 (the "Code of Practice"). The Code of Practice is available at www.nues.no.

Below follows a report outlining how Rocksource has implemented the Code of Practice. This report follows the same structure as the Code of Practice and covers all sections thereof. Deviations from the Code of Practice are discussed under the relevant sections.

In addition to the Code of Practice, the Norwegian Accounting Act section 3-3b stipulates that companies must provide a report on their policies and practices for corporate governance either in the Annual Report or in a document referred to in the Annual Report. Such report is integrated in the below corporate governance statement.

1 Implementation and reporting on corporate governance

Good corporate governance shall ensure that appropriate goals and strategies are adopted, that the adopted strategies are implemented in a sound manner and that the results achieved are subject to measurement and follow-up. The principles shall also contribute to ensuring that the activities of Rocksource are subject to adequate review and control.

It is the responsibility of the Board of Directors of Rocksource to ensure that Rocksource implements sound corporate governance. Compliance with and implementation of the corporate governance guidelines are continuously evaluated by the Board of Directors and its Audit Committee.

The Board of Directors has prepared guidelines for the Company. The guidelines are based on a set of ethical values and aim to ensure that the Company and its employees act with integrity and in the best interest of all shareholders, employees and the environment. The guidelines also include mandatory reporting for board members and leading employees if they directly or indirectly have

a substantial interest in an agreement entered into by the Company; see Item 4 below. The governing guidelines further describe how contact with shareholders can be arranged outside the General Meeting; see Item 13. The Board of Directors approved and published the guidelines in 2007. The guidelines are available on the Company's website.

2 Business

The Company's activities, objectives and strategies are clearly defined. The objects clause included in the Articles of Association and the Company's main objectives and strategies are referred to in the Annual Report.

3 Equity and dividends

The Board of Directors continuously seeks to maintain shareholder equity well suited to the Company's objectives, strategy and risk profile. In order to provide the Board of Directors with the necessary freedom of action, the General Meeting, from time to time and in its sole discretion, awards the Board of Directors Power of Attorney to implement capital increases in the Company pursuant to the Public Limited Liability Companies Act.

Two authorisations to implement capital increases were granted in the Annual General Meeting on 13 May 2011, of which one expired on 1 July 2012 and the other will expire on 13 May 2013. None of the authorisations have been utilised. The Company will from time to time and in its sole discretion consider to include authorisations to the Board of Directors on the agenda at each year's Annual General Meeting and to give the General Meeting opportunity to consider each of the capital increase mandates separately.

One of the Power of Attorneys granted to the Board of Directors at the Annual General Meeting on 13 May 2011 authorised the Board of Directors to resolve one or several share capital increases under the Company's incentive scheme. In order to better comply with the Company's obligations to employees under the incentive scheme, the authorisation was granted for a period of two years from 13 May 2011 and not only until the next Annual General Meeting, as recommended by the Code of Practice.





Any Powers of Attorney granted to the Board of Directors by the General Meeting will only be applied for the purpose of protecting and enhancing shareholders' interests.

The Company has been and still is in a phase with considerable investments. As the Company has a high focus on equity value creation, no regular dividend policy has been established.

4 Equal treatment of shareholders and transactions with close associates

In the opinion of the Board of Directors the Company meets the requirements pertaining to equal treatment of shareholders as laid out in Item 4 of the Code of Practice. The Company has prepared guidelines requiring that members of the Board of Directors and senior employees report any non-immaterial interest in any agreement entered into by the Company.

5 Freely negotiable shares

All shares in Rocksource may be freely traded and no form of restriction of negotiability is included in the Company's Articles of Association.

6 General Meetings

The Company makes all necessary arrangements to ensure that all shareholders can exercise their rights by participating in the Company's General Meetings, either in person or by proxy, and that the General

Meeting will be an effective meeting place for the shareholders and the Board of Directors. The Company complies with the specific obligations mentioned in Item 6 of the Code of Practice.

7 Nomination Committee

In accordance with the Articles of Association, the Annual General Meeting has established a Nomination Committee consisting of three members. All members of the Committee are independent of the Board of Directors and the executive personnel.

The Annual General Meeting for 2011 adopted instructions for the Nomination Committee. According to these instructions, the Committee shall ensure that the composition of the Board of Directors is suitable to protect shareholders' interests and the Company's need for expertise, capacity and diversity. The Nomination Committee shall also take into consideration the composition of the Board of Directors to ensure that the Board of Directors can act independently of vested interests and seek to achieve a composition that is consistent with applicable guidelines for good corporate governance on the Oslo Stock Exchange.



Information concerning the Nomination Committee and deadlines for making suggestions or proposing candidates for the Board of Directors are available at the Company's website www.rocksource.com, in the "Company" section.

8 Corporate Assembly and Board of Directors: Composition and Independence

The Company is not required by law and has not established a Corporate Assembly. However, the representation of employees in the Board of Directors is under consideration.

The shareholder elected members of the Board of Directors is and shall continue to be composed in accordance with the Company's requirements for expertise, capacity and diversity, and such that it is capable of preserving and protecting the interests of all of the Company's shareholders. The Board of Directors meets the Norwegian requirements for gender representation.

Except for board member Helge Ringdal, who is one of the Company's main shareholders, all members of the Board of Directors are independent of the Company's management, main business associates and the Company's main shareholders.

A total of 26 board meetings were held and recorded during 2012, of which some by telephone conference and a few by written procedure. The attendance among the board members was complete in almost all meetings. Two out of seven board members held a total of 1 353 125 shares in the Company as of 31 December 2012.



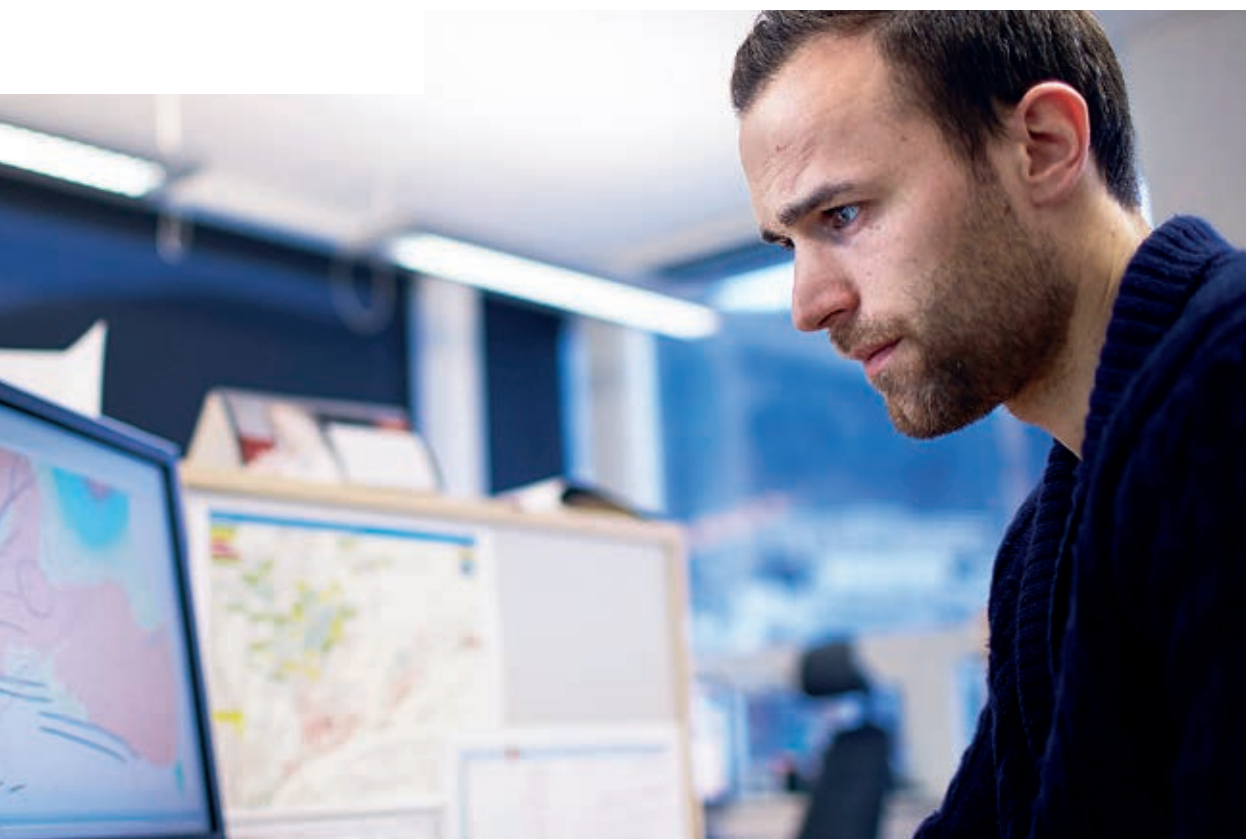
9 The work of the Board of Directors

The Board of Directors has adopted instructions for the Board of Directors and the management. The Board of Directors carries out assessments of its work and expertise at regular intervals. An Audit Committee was established in 2010.

10 Risk management and internal control

The Board of Directors is of the opinion that the Company has satisfactory internal control and relevant systems for handling risk compared to the size and type of the Company's business. Through policies, procedures, authorisation matrices, reports and controls, the Board of Directors has established an environment for internal control and risk management related to financial reporting that is designed to provide reasonable assurance regarding the reliability of the reporting and of the preparation of the financial statements.

In 2012, the Company had three key focus areas which were successfully achieved: (i) build a sustainable drill queue of three to four wells per year, (ii) create an organisation for the future and (iii) improve the financial situation. The efforts to achieve the objectives had high priority throughout the year. The Company succeeded in achieving its objectives, and the Board of Directors was supervising and following up the work on a continuous basis.



11 Remuneration of the Board of Directors

The Annual General Meeting approves the remuneration paid to the Board of Directors. These are not dependent on results, and the members of the Board of Directors do not hold share options in the Company. The remuneration to the Board of Directors is disclosed in the Annual Report.

12 Remuneration of executive personnel

In accordance with the Norwegian Public Limited Companies Act § 6-16 a, ref § 5-6 third section, the General Meeting is required to approve the Board of Directors' declaration of remuneration policy for the coming year. In the General Meeting the Board of Directors will present the declaration of remuneration as stated in Note 2 to the Parent Company's financial statement. The remuneration paid to the Chief Executive Officer and key employees is shown in the Annual Report.

A General Meeting has previously approved the Company's incentive scheme for the executive personnel. Based on an overall assessment the Company has not implemented an absolute limit on the performance based remuneration to executive personnel, partly because the strike price on the share options are on a significantly higher level than the current market price for the share.

13 Information and communications

The Company reports financial and other information regularly. All reports are based on openness and take into account the requirement for equal treatment of all shareholders. The Company takes particular care to ensure that any information that may affect the share price is made available to the market. Guidelines for communication with the Company's shareholders outside the General Meeting is included in the Company's guidelines.

14 Take-overs

In a take-over situation the Board of Directors will focus on and use its best efforts to ensure equal treatment of the shareholders, and further to have the best interest of all shareholders in mind regarding price and other conditions.

15 Auditor

It is the opinion of the Board of Directors that the Company meets and complies with the requirements stated in Item 15 of the Code of Practice concerning contact with the Company's Auditor. The Auditor is not engaged for services that in the opinion of the Board of Directors could compromise the Auditor's neutrality and independence.

Shareholder policy

Rocksource is an E&P company listed on the Oslo Stock Exchange (Oslo Børs).

The Company has one share class and each share carries one vote at the general meetings.

Return on investment

In 2012, the Rocksource share had a flat development with the share ending on the same price as the year before. In comparison, an investment in the Oslo Børs All Share Index over the same period provided a positive return of 11 per cent. During the year 136.6 million shares changed hands on the Oslo Stock Exchange, with a daily trading average of 0.54 million shares. This was approximately half the volume traded in 2011.

Ownership structure

At the end of 2012, Rocksource had 5 060 shareholders, and 10 per cent of the Company's shares were owned by foreign investors. This is a decrease of six percentage points from 2011.

The Company's employees, management and Board held approximately three per cent of the shares in the Company.

Rocksource's 20 largest shareholders held 38.3 per cent of the shares. Please note that this list also consists of nominee shareholders that hold shares on behalf of their clients.

Share capital

On 14 June the General Meeting resolved a merging of shares (reverse split) in the ratio 4 to 1, in addition to the issue of 213 shares in order to achieve a round number of shares prior to the merging. It also resolved to reduce the share capital of the Company by NOK 339,516,450 through a reduction in the nominal value of the shares of the Company from NOK 4.00 to NOK 0.10 by transfer to other equity, and reduce the share premium fund by NOK 135,517,333 by transfer to other equity. The share capital increase from the share issue was registered on June 18, while the reverse split took effect on June 21. The reduction of share capital and share premium fund was registered on 17 December. Rocksource's share capital at 31 December 2012 was NOK 8,705,550 divided into 87,055,500 shares each with a nominal value of NOK 0.10 each.

During the year 136.6 million shares changed hands on the Oslo Stock Exchange, with a daily trading average of 0.54 million shares.

The Company's largest shareholders at 31 December 2012

Name of shareholder	Country	Number of shares	Share %
Larsen Oil & Gas AS	Norway	16 754 402	19.2 %
Petrolia Invest AS	Norway	2 796 315	3.2 %
Veen Eiendom A/S	Norway	1 796 073	2.1 %
Balanced Rock AS	Norway	1 312 533	1.5 %
Helge Ringdal	Norway	1 278 125	1.5 %
HSBC Bank Plc	UK	1 242 500	1.4 %
Net AS	Norway	935 871	1.1 %
Kjetil Langhelle	Norway	915 000	1.1 %
Brown Brothers Harriman And Co	USA	724 250	0.8 %
Nordnet Pensjonsforsikring	Norway	641 185	0.7 %
Jonny Hesthammer AS	Norway	625 000	0.7 %
Thomas Af Collins	USA	600 907	0.7 %
RBC Investor Services Bank	Luxembourg	596 250	0.7 %
Ole Andre Baksaas	Norway	500 000	0.6 %
Meglerkonto Avanza Bank AB	Sweden	488 872	0.6 %
Nordnet Bank AB	Sweden	453 026	0.5 %
Greenwich Land Securities AS	Norway	436 947	0.5 %
Biovisjon Holding AS	Norway	432 638	0.5 %
Parmod Kumar Bhandari	Norway	420 500	0.5 %
Glaamene Industrier AS	Norway	372 155	0.4 %
Total top 20 shareholders		33 322 549	38.3 %
Other shareholders		53 732 951	61.7 %
Total		87 055 500	100.0 %

Share data

	2012	2011	2010
Share price at 31 December (NOK)	1.16	1.16	13.20
- high	2.32	15.20	19.20
- low	1.07	0.88	6.08
Average outstanding shares	87 055 476	84 078 609	57 644 298
Treasury shares	6 212	6 212	6 212
Outstanding shares at end of period	87 055 500	87 055 447	65 653 008
Market cap. at 31 December (MNOK)	101	101	843
Number of shareholders at 31 December	5 060	5 637	5 483

Figures have been adjusted for the 4:1 reverse split in June 2012.





THE BOARD OF DIRECTORS' REPORT

The Board of Directors' report

Introduction

Rocksource ASA ("Rocksource" or "the Company") is an oil and gas company focused on offshore exploration with offices in Bergen and Oslo. In 2012 the Company made certain significant strategic modifications and geared up for a new drilling campaign which is now underway. The Company made solid progress on all three core areas it had set for itself at the start of the year; (1) improving its financial position, (2) creating an organisation for the future and (3) rebuilding a sustainable drill queue of three to four wells per year from 2013.

Summary of main events in 2012

Entering 2012 Rocksource was still digesting the results from the 2011 drilling programme. In 2011 the Company participated in the Norvarg discovery in the Barents Sea. Norvarg was subsequently classified as one of the ten largest offshore discoveries made worldwide in 2011. Even so Norvarg remains to be confirmed as commercial, given its wide resource range and the lack of infrastructure in the region. Norvarg 2, an appraisal well, is scheduled to be drilled in 2013. This well will be important in assessing the resource range. In addition to the Norvarg appraisal the current sanctioned drilling programme for 2013 includes a Rocksource-operated exploration well on PL 506S in the North Sea and a partner-operated exploration well in the Barents Sea.

Rocksource was confronted with a challenging financial position entering 2012, notably a bond maturity due in May 2012. The bond debt had been raised in 2007 to support the Company's US onshore producing fields which were divested in 2011. However, disposal proceeds were not sufficient to repay the bond in full and at the start of 2012 the outstanding bond loan was NOK 129.5 million.

Following an extensive strategic review, Rocksource announced an asset transaction with Valiant Petroleum ("Valiant") in March 2012. This transaction included the sale of a 13 per cent interest in the Norvarg discovery, leav-

ing Rocksource with a 7 per cent interest. It also led to an average reduction of about 50 per cent in the Company's equity stakes in a further 12 exploration licences. The transaction was closed in May 2012 following formal government approval. The result was that it enabled Rocksource to repay immediately its outstanding bond debt. The transaction is described in more detail in the "Financing" and "The Result for the year" sections of this report.

To strengthen further the Company's financial position, Rocksource completed a cost cutting programme in 2012. Office locations were halved to two, Bergen and Oslo, and staffing was reduced. Rocksource has retained its core technical skills and operator capabilities despite these measures. These operator capabilities have recently been reaffirmed by the authorities and drilling of the Rocksource-operated exploration well in PL 506S commenced according to plan in April 2013. Rocksource now has a highly skilled organisation with a competitive cost base.

A key feature of the 2012 strategy review was a clearer emphasis on the Norwegian Continental Shelf ("NCS"). International ambitions were scaled down and acreage positions in AGC Profond (offshore Senegal and Guinea Bissau), the UK Continental Shelf ("UKCS") and the US Gulf of Mexico ("GoM") were relinquished. Rocksource's residual international portfolio is now held mainly through 12 leases in the GoM.

Technologically supported exploration model

Rocksource's exploration model is to apply in depth geological knowledge, complemented by advanced seismic and electromagnetic ("EM") analysis, supported by commercial expertise and capital discipline. The Company's goal is to participate in commercial discoveries, then divest and re-allocate funds towards new exploration opportunities.

Rocksource was established to exploit the premise that Controlled Source Electromagnetic (“CSEM” or hereafter EM) technology, if used properly, could considerably increase the probability of finding new reserves. The experience gleaned from the 2011 drilling campaign led to the Company taking a strategic decision to modify its business model also to include non-EM prospectivity.

In the Company’s technology supported approach application of EM, a Direct Hydrocarbon Indicator (“DHI”), remains one part of the Company’s exploration model. Other skills include seismic DHIs and advanced geophysical tools like Amplitude Versus Offset (“AVO”) and other special studies concerning sediment deposition, trap creation and oil migration. By integrating these different exploration technologies and implementing the results in a structured exploration risking and decision making process, the Company stands out from most of its peers.

Rocksource aims to mature more, good quality exploration wells faster and at lower cost, resulting in a sustainable programme of three to four wells per year. The Company’s revised exploration model is a key enabler for this goal.

Operational review – NCS

The Company spent 2012 firming up a new drilling campaign which has now started. Through the year, Rocksource announced three sanctioned NCS wells expected to be drilled in 2013; one appraisal well of Norvarg on PL 535, and exploration wells on PL 506S and PL 659.

Drilling of the high-risk, high-reward Storbarden prospect in PL 506S in the North Sea commenced in April 2013. The well will test a new charge and retention model in the Stord Basin. The main target is the Storbarden prospect, which is a stratigraphic trap in the Tertiary Balder formation, while the Langenuen prospect in the Utsira formation is defined as a secondary target. Rocksource is the operator of the licence. The partners in PL 506S are Petoro, Petrolia and Valiant. The well is being drilled by the semi-submersible drilling rig Borgland Dolphin.

Preparations are on-going for an appraisal well on the Norvarg discovery in the Barents Sea. Drilling is expected to commence during the second quarter of 2013. The operator, Total, carries a resource estimate of “+200

million barrels of oil equivalent (“mmbœ”)” compared with Rocksource’s current mean estimate of 290 mmbœ. An appraisal well is required to understand better the resource potential and narrow the current large resource range. The aim is to test the reservoir quality of the channel sands in the main Kobbe formation. These channel sands are expected to have significantly higher productivity than those in the discovery well. If the appraisal well is successful, it will increase the low side of the resource estimates and firm up potential additional resources. The PL 535 partnership consists of Total, Det norske, North Energy, Valiant and Rocksource. The well will be drilled by the semi-submersible drilling rig Leiv Eiriksson.

Drilling of the Langlitinden prospect in PL 659 in the Barents Sea is expected to commence towards the end of 2013. Det norske is the licence operator. This well will target additional prospectivity found on the same structure as the -190 mmbœ Caurus gas discovery made by Statoil in 2008. Well planning is currently underway. The partnership consists of Det norske, Lundin, Spring Energy, Petoro, Valiant and Rocksource. The well will be drilled by the semi-submersible drilling rig Transocean Barents.

PL 659 was awarded to Rocksource in the 2011 NCS Award in Predefined Areas (“APA”) licensing round. Announced in January 2012 this was a highly competitive licensing round and Rocksource was pleased to get a stake in a sought after Barents Sea licence with oil prospectivity.

In addition to the interest in PL 659, Rocksource was awarded the operatorship of PL 506DS located in the Stord Basin. PL 506DS is a downward extension of PL 506S, and contains the stratigraphy from base Cretaceous and below. For this licence, the work programme follows that of PL 506S. A drill-or-drop decision has to be made within the first quarter of 2014.

As previously stated, the Company’s ambition is to take part in three to four

wells per year on the NCS. Work on firming up wells for 2014 continues, and so far two exploration wells look set to be drilled next year.

A drill-or-drop decision on PL 586 in the Norwegian Sea is expected shortly. Given a drill decision Rocksource expects a well to be drilled in 2014 on the Pil prospect. This is a low to medium risk oil prospect with seismic DHI uplift and the potential for fast track development in the event of a discovery. The Pil prospect is located within tie-back distance (~30 kilometres) to the producing Njord field. The operator, VNG, recently finalised work on establishing a new partnership which led to Faroe Petroleum, Rocksource and an undisclosed third party entering the licence.

Rocksource farmed into PL 586 in September 2012. This was the Company's first ever NCS farm-in. It marked a shift in strategy whereby Rocksource will monitor the farm-in market closely in the future with the goal to identify attractive licences to add to the Company's portfolio.

On PL 528, also in the Norwegian Sea, the partnership has taken a drill decision. Rig capacity has been secured and an exploration well testing the Ivory prospect is expected to spud in late 2014 or early 2015. The partnership consists of Centrica, Statoil and Rocksource. The PL 528 licence is located adjacent to the Statoil-operated Aasta Hansteen field development.

In the Northern part of the North Sea, Rocksource holds a stake in the PL 581 licence close to the gas discovery, Peon, currently under evaluation for a field development by Statoil. New seismic and EM data indicate the presence of seismic and EM DHIs. A drill-or-drop decision is scheduled for the first quarter of 2014 with a potential well on the Leon prospect in 2015.

Rocksource continues to mature the rest of its NCS portfolio. In 2012 the Company acquired seismic data on PL 581, PL 601 and PL 610 as part of work programme commitments and in preparation for future drill-or-drop decisions.

During the year the Company elected to relinquish four NCS licences; PL 416, PL 515, PL 572S and PL 588. At year-end the NCS portfolio amounted to 14 licences spread between the North Sea, the Norwegian Sea and the Barents Sea.

Operational review – International activities

The remaining part of Rocksource's international portfolio is held mainly through 12 leases in the GoM. The GoM portfolio consists of the Trident discovery (~130 mmbbl, mainly light oil, Rocksource 100 per cent) as well as a number of identified exploration prospects. The Company is pursuing options to farm-out prospects to deep water operators and/or to finance a limited drilling programme in the Trident area. The majority of the Company's leases are valid until 2018/19 and carry no work obligations.

Sentiment about the deep water GoM is gradually normalising after the Macondo incident. Drilling and permitting is back to pre-Macondo levels, but so far most of the wells have been aimed at restoring production after the drilling moratorium. A rebalancing towards more normal levels of exploration is expected over the next year or two.

During 2012 the Mexican national oil company, Pemex, drilled two successful exploration wells southwest of the Trident discovery. Further, partners at the Perdido development adjacent to Trident reported solid production rates. This is encouraging as the Perdido reservoirs are similar to those proved up in Trident, reducing the risk with respect to the reservoir and facilities. In addition, the Perdido partners have recently completed a successful production test of the large Frio reservoir, which is an analogue to the Rocksource exploration prospect in the

adjacent block AC855. Interest in the Perdido trend is, in general, increasing.

In the UK, relinquishment of all except one licence is agreed in the various partnerships. In the remaining licence P1849 there is a drill or drop decision in 2015.

In India, ONGC continues to consider its position relative to Rocksource's role and responsibilities related to the CY-DWN-2001 exploration block located in the Cauvery Basin. As previously communicated, none of the three exploration wells drilled on the block were at locations recommended by Rocksource utilising the Company's EM technology, nor did the Company consent to or support any of them. Rocksource has not signed the Production Sharing Contract (PSC) and has therefore never formally become a partner in the block. ONGC relinquished the PSC in 2011.

Further details can be found in note 17 to the financial accounts "Contingent commitments, agreements and contingencies".

Financing

Entering 2012 Rocksource faced a challenging financial position. The Company was faced with a bond maturity in May 2012. Furthermore, a considerable part of its cash balance was locked up in an escrow account pending the outcome of an unresolved tax issue in Norway. The tax issue is described in more detail in the "Tax" section below.

As an exploration company, Rocksource looks primarily to asset divestment and equity financing as sources of funds for its operations. With a historically low share price, the Company deemed the asset transaction route as offering better shareholder value than the highly dilutive equity alternative. The asset transaction with Valiant, announced in March 2012, provided Rocksource with a cash contribution of NOK 60 million (post-tax), as well as a further NOK 200

million (pre-tax) towards the Company's exploration expenses (the "carry-fund").

The impact from the asset sale to Valiant solved the Company's short to medium term financial challenges, and allowed Rocksource to utilise its NCS exploration credit facility for 2012 with SEB Merchant Banking ("SEB").

Tax

In 2010 Rocksource received a notice from The Norwegian Oil Taxation Office ("OTO") of a possible change to its tax assessments for 2007, 2008 and 2009. The OTO questioned the pricing of EM interpretation services provided to Rocksource and its licence partners from Rocksource's wholly owned subsidiary, Rocksource Geotech AS. Following extensive communication with the OTO, the Norwegian Oil Taxation Board ("OTB") ruled in May 2012 that tax refunds of NOK 48.3 million would have to be repaid. The profit and loss effect from the ruling was included in first quarter 2012, while the cash repayment of taxes, including interest of NOK 55.3 million, occurred in July 2012.

The ruling from the OTB may be appealed to the Complaints Board for Oil Taxation before it may be pursued through legal proceedings. The Company is currently in the process of preparing such an appeal.

As a consequence of the corporate restructuring completed on the 31 December 2012, described in more detail in the "Organisation & HSE" section below, the Company will claim payment from the Norwegian government of the tax value of its uncovered losses pursuant to the Norwegian Petroleum Taxation Act section 3(c)(4). The right to such a refund has been confirmed by an advance tax ruling from the OTB. Based on the tax assessment for 2011, covering the tax years up to and including 2011, and the preliminary tax calculations for 2012, the expected payment amounts to approximately

NOK 96 million. The final tax payment will be determined when the Company receives its 2012 tax assessment. The tax refund is expected to be received by Rocksource ASA in December 2013.

Organisation & HSE

There were no reported incidents related to Rocksource's operations in 2012. A core tenet of Rocksource is the prevention of any incidents or accidents to employees or partners working with the Company and to conduct business in a way which will not damage the environment. The Company's Management System plays a vital role in equipping the employees with the necessary framework to conduct operations in a safe, environmentally responsible and ethically sound manner. No deviations were reported in 2012. The Company's Business Practices are available on www.rocksource.com.

In October 2012 Rocksource announced the decision to reorganise the corporate structure of the Rocksource Group, whereby the Company would transfer all its activities on the NCS incorporating licences, all related assets, contracts and personnel into Rocksource Exploration Norway AS, a fully owned subsidiary of Rocksource ASA. The aim of the reorganisation was to create a Group structure more aligned with its operations and the areas in which it operates. The new structure provides added flexibility and will assist the Company as it endeavours to deliver further growth. The reorganisation was completed as planned on the 31 December 2012.

At the end of 2012 the Rocksource organisation comprised 34 employees, a reduction from 46 at year-end 2011. The Company aims to have a good gender balance and is an equal opportunity employer. At year end 2012 the Company employed 9 females and 25 males.

The sickness absence rate remained low throughout the year at 2.4 per cent of total hours worked. The low sickness absence ratio is an indicator of the Company's good working environment.

At the Company's General Meetings during the spring of 2012 a new Board of Directors was elected. The number of directors increased from five to seven members of which three are female.

Consolidated income statement, cash flow and financial position

Result for the year

Total revenue for 2012 was NOK 55.6 million compared with NOK 186.0 million in 2011. The 2012 figure includes a NOK 41.2 million gain from the NCS asset transaction with Valiant, while revenue for 2011 included an income of NOK 152.8 million from the farm-down of the Company's position in the AGC Profond PSC to Noble Energy.

Total exploration expenses in 2012 were NOK 235.8 million compared with NOK 644.2 million in 2011. Exploration expenses for 2012 include a NOK 89.0 million purchase of multi-client seismic and EM data. These data have been applied to evaluate prospects in the current NCS 22nd Licensing Round and will also be used in future licensing rounds and farm-in assessments. The high exploration expenses for 2011 reflect drilling of four exploration wells.

Under the terms of the agreement between Valiant and Rocksource, Valiant will provide NOK 200 million (pre-tax) in total to pay for Rocksource's share of exploration expenses in the licences that Valiant farmed-into (the carry-fund). The undrawn carry-fund as of 31 December 2012 was NOK 163.4 million.

An impairment charge of NOK 93.0 million was recorded in 2012 related to goodwill associated with EM technology. More details are provided in note 8.

EBITDA for 2012 was negative at NOK 189.1 million, versus minus NOK 480.3 million for 2011. Total net financials were negative at NOK 65.0 million versus NOK 15.3 million for 2011. This is mainly due to a write-down of investments in associates, interest cost related to repayment of taxes as well as interest on the exploration credit facility (ECF). The bond loan was repaid in full in 2012, while the ECF balance going into 2013 is considerably reduced following lower activity and utilisation of the Valiant carry-fund.

The Group received the expected tax refund of NOK 564.0 million in December 2012 related to exploration on the

NCS in 2011. Income tax in 2012 was positive with NOK 147.1 million, compared with NOK 372.2 million in 2011.

The net loss for 2012 amounted to NOK 201.7 million compared with a loss in 2011 of NOK 178.3 million. The net loss amounts to both basic and diluted earnings from continued operations of minus NOK 2.32 per share.

Financing, cash flow and financial position

Rocksource's total assets as of 31 December 2012 was NOK 465.6 million compared with NOK 1 259.3 million at year-end 2011. The decrease from 2011 is mainly a result of repayment of external loans and the write-down of the goodwill balance.

Equity as of 31 December 2012 was NOK 212.5 million compared with NOK 408.2 million at year-end 2011, giving an equity ratio of 45.6 per cent, up from 32.4 per cent at year-end 2011.

The cash position at year-end 2012 was NOK 88.8 million, down from NOK 247.2 million at year-end 2011. Net cash flow from operating activities totalled NOK 332.1 million which included the NOK 564.0 million tax refund on exploration expenses. Net cash flow from operating activities in 2011 was a negative 339.1 million.

Net cash flow from investing activities in 2012 was positive at NOK 74.2 million. This was heavily influenced by NOK 76.5 million in proceeds from asset sales relating to the Valiant transaction. Cash flow from investing activities in 2011 was a negative NOK 224.4 million. The major part was related to the capitalised exploration expenses on the Norvarg discovery. Total cash flow from financing activities was negative at NOK 563.9 million, including a repayment of short term debt of NOK 663.8 million.

The book value of the Group's interest bearing debt was NOK 120.2 million at year end 2012, representing only the NCS credit facility with SEB. Interest bearing debt at year-end 2011 was NOK 680.7 million. At year-end 2012

the Rocksource Group no longer has any interest bearing bond loans.

Total drawdown on the NCS exploration credit facility in 2012 was NOK 121.5 million. Some NOK 535.5 million of the credit facility, relating to 2011 exploration expenses, was repaid when the Company received its exploration tax refund in December 2012. A further NOK 121.5 million of the credit facility relating to 2012 exploration expenses will be repaid when the Company receives its exploration tax refund in December 2013. The new NCS credit facility of NOK 150.0 million will contribute to financing the expected exploration expenses in 2013.

Rocksource ASA – Income statement, balance sheet and cash flow

The financial statements have been prepared on the assumption that Rocksource will continue as a going concern. This assumption is founded on the same expectations on which the Board of Directors has based its plans for development of Rocksource ASA as described above, and satisfactory Company liquidity.

Rocksource ASA's total operating income of NOK 57.9 million (NOK 44.7 million in 2011) primarily relates to the transaction with Valiant, sale to other Group companies, as well as sale of EM processing to license partners. The cost of Rocksource ASA's exploration activities amounted to NOK 109.0 million (NOK 443.5 million in 2011). Including other operating and administrative expenses, the operating loss for 2012 was NOK 159.1 million (NOK -515.2 million in 2011). Net financial expenses totalled NOK 258.6 million (NOK -36.9 million in 2011), mainly due to NOK 222.1 million in impairment of financial assets. Income tax, mostly relating to the exploration refund under the Norwegian petroleum tax regime, was NOK 147.1 million (NOK 385.6 million in 2011), while the net loss for 2012 was NOK 270.6 million (NOK -166.4 million in 2011).

The Board of Directors proposes that the deficit for the year in the parent Company of NOK 270.6 million is allocated from paid-in capital. As of 31 December 2012, the Company had NOK 201.0 million in unrestricted equity.

Shareholders

The share price in Rocksource ASA fell significantly following the results of the 2011 drilling campaign. The share price traded below NOK 1 during the first months of 2012. In order to comply with the rules of the Oslo Stock Exchange section 2.4, the Board of Directors presented a proposal for a reversed split in the ratio 4 to 1. This was subsequently resolved at the Company's Annual General Meeting in June.

As at 31 December 2012 Rocksource ASA had 87,055,500 shares outstanding and a total of 6,212 treasury shares, each with a nominal value of NOK 0.10. All shares have equal rights. The share price on the first day of trading on 2 January 2012 was NOK 1.28 (adjusted for reversed split), while on the last day of trading on the 28 December 2012 the share price was NOK 1.16. The share price peaked at NOK 2.32 on the 10 January, while the lowest price in 2012 was NOK 1.07 on the 9 July. At the end of the year, the market capitalisation of Rocksource was approximately NOK 101 million.

Financial market risk

The Company is primarily exposed to risk in connection with fluctuations in exchange rates and interest rates. With no producing assets, Rocksource is affected by fluctuations in oil and gas prices to a lesser extent in the short term.

The Company is exposed to exchange rate risk to a certain degree. This primarily relates to the USD and GBP as activities are often linked to contracts quoted in foreign currencies. Exposure to the USD will increase in periods when the Company participates in drilling operations.

The Company is exposed to a moderate element of interest rate risk as a result of the exploration credit facility. In light of very moderate sales and the fact that the Company has no placements in the capital market, the Board of Directors considers the credit risk to be low. However, the Company remains focused on counterparty risk in all its transactions to reduce the risk of any unwanted exposure.

Corporate Governance

Rocksource complies with the Norwegian Code of Practice for Corporate Governance as of 23 October 2012 (the Code of Practice). The Code of Practice which is issued by the Norwegian Corporate Governance Board is available at www.nues.no.

Rocksource focuses in particular on business practices, communications with shareholders and the market, owner influence and independence. In accordance with the Norwegian Accounting Act section 3-3b and the Code of Practice, the Company has prepared a report for each of the individual points contained therein. The report is included in the Annual Report and available on the Company's web pages.

Outlook

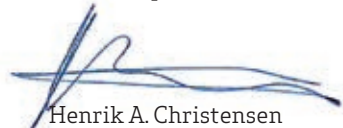
Rocksource has made sound progress in orientating the Company towards a new set of opportunities starting early 2013. During 2012 the Company's cost base was significantly reduced and the outstanding bond debt eliminated following the transaction with Valiant. Critically a strategy review in 2012 means that the Company is now primarily focusing on cost efficient exploration on the NCS.

Currently Rocksource has firmed up five wells to be drilled over the next two years. It is actively screening for farm-in opportunities to add to its portfolio of drilling prospects with the aim to deliver an annual drilling programme comprising three to four good quality wells.

While Rocksource is primarily focusing its effort towards the NCS, it continues its effort to attract partners for its GoM portfolio. Progress in deep water GoM remains slow, but marketing activity shows that the interest seems to be picking up somewhat.

Rocksource is fully funded for its committed 2013 drilling activity. However, as the Company has growth ambitions beyond this, it intends to strengthen its financial basis further. The Company continuously evaluates measures to address this goal.

Oslo, 30 April 2013



Henrik A. Christensen
Chairman



Eva von Hirsch
Board Member



Marianne E. Johnsen
Board Member



Nick Johnson
Board Member



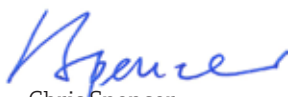
Ole Wiborg
Board Member



Helge Ringdal
Board Member



Susan Graham
Board Member



Chris Spencer
Chief Executive Officer



THE FIGURES

FINANCIAL CALENDAR

Rocksource ASA will present the financial statements on the following dates in 2013:

Q1 2013 interim financial report: 28 May

Q2 2013 interim financial report: 27 August

Q3 2013 interim financial report: 19 November

Time and venue will be communicated at a later stage. All dates are subject to change. The Annual General Meeting is expected to be held on 28 May 2013.

Consolidated statements and notes 31

- > Income statements 01.01 - 31.12
- > Statements of comprehensive income
- > Statements of financial position as of 31.12
- > Cash flow statements
- > Statements of changes in equity
- > Summary of significant accounting policies
- > Notes
 - 1 SEGMENT INFORMATION
 - 2 OTHER GENERAL AND ADMINISTRATIVE EXPENSES
 - 3 EXPLORATION EXPENSES
 - 4 EMPLOYEE EXPENSES
 - 5 NET FINANCIAL INCOME/(EXPENSES)
 - 6 INCOME TAX
 - 7 TANGIBLE ASSETS
 - 8 INTANGIBLE ASSETS
 - 9 ACCOUNTS RECEIVABLE AND OTHER RECEIVABLES
 - 10 CASH AND CASH EQUIVALENTS
 - 11 ISSUED CAPITAL
 - 12 EARNINGS PER SHARE
 - 13 GROUP COMPANIES
 - 14 INVESTMENT IN ASSOCIATES
 - 15 CURRENT LIABILITIES
 - 16 COMMITMENTS
 - 17 CONTINGENT COMMITMENTS, AGREEMENTS AND CONTINGENCIES
 - 18 INTEREST-BEARING LOANS
 - 19 FINANCIAL INSTRUMENTS AND RISK MANAGEMENT
 - 20 RELATED PARTIES
 - 21 REMUNERATIONS
 - 22 ACCOUNTING ESTIMATES
 - 23 DISCONTINUED OPERATIONS
 - 24 OPERATING INCOME
 - 25 SUBSEQUENT EVENTS

Rocksource ASA statements and notes 74

Responsibility statement 93

Auditor's report 94

Income statements 01.01 - 31.12

Figures in NOK 1000

Notes

2012

2011

OPERATING INCOME

Revenue		14 333	33 227
Other operating income		41 246	152 807

Total operating income	1, 24	55 579	186 034
-------------------------------	-------	---------------	---------

OPERATING EXPENSES

Exploration expenses	1, 3	-235 758	-644 238
Other general and administrative expenses	1, 2, 4, 16, 21	-8 934	-22 047
Depreciation and amortisation	1, 7, 8	-1 638	-2 728
Impairment charge	1, 8, 22	-93 000	-51 563

Total operating expenses		-339 330	-720 576
---------------------------------	--	-----------------	----------

Operating profit/(loss)		-283 751	-534 542
--------------------------------	--	-----------------	----------

FINANCIAL INCOME/(EXPENSES)

Share of income/(loss) in associates	1, 5, 14	-26 148	-8 303
Financial income	1, 5, 18	15 886	28 894
Financial expenses	1, 5, 14, 18	-54 755	-35 898

Net financial income/(expenses)		-65 017	-15 307
--	--	----------------	---------

Profit/(loss) before taxes from continued operations		-348 768	-549 849
---	--	-----------------	----------

Income tax	1, 6	147 057	372 193
------------	------	----------------	---------

Net profit/(loss) from continued operations		-201 711	-177 656
--	--	-----------------	----------

Net profit/(loss) from discontinued operations	23	-	-676
--	----	----------	------

Net profit/(loss)		-201 711	-178 333
--------------------------	--	-----------------	----------

Attributable to:

Equity holders of the parent		-201 711	-178 319
Minority interest		-	-13

Net profit/(loss)		-201 711	-178 333
--------------------------	--	-----------------	----------

Earnings per share

Basic earnings per share (NOK)	11, 12	-2.317	-2.116
Diluted earnings per share (NOK)		-2.317	-2.116

Earnings per share from continued operations

Basic earnings per share (NOK)	11, 12	-2.317	-2.108
Diluted earnings per share (NOK)		-2.317	-2.108

Earnings per share from discontinued operations

Basic earnings per share (NOK)	12	-	-0.008
Diluted earnings per share (NOK)		-	-0.008

Statements of comprehensive income

Figures in NOK 1000

	2012	2011
Net profit/(loss)	-201 711	-178 333
Exchange differences on translating foreign operations	9 372	-4 099
Total comprehensive income/(loss) for the period	-192 339	-182 432
Total comprehensive income attributable to:		
Equity holders of the parent	-192 339	-182 419
Minority interest	-	-13
Total comprehensive income/(loss) for the period	-192 339	-182 432

Statements of financial position as of 31.12

Figures in NOK 1000

Notes

2012

2011

ASSETS

NON-CURRENT ASSETS

Intangible assets

Goodwill	8, 22	10 000	103 000
Capitalised exploration and acquisition costs	8	116 710	290 925

Total intangible assets		126 710	393 925
--------------------------------	--	----------------	---------

Tangible assets

Furniture, fixtures and office machines	7	2 771	3 646
---	---	--------------	-------

Total tangible assets		2 771	3 646
------------------------------	--	--------------	-------

Other non-current assets

Investment in associates	14	-	27 174
--------------------------	----	---	--------

Total other non-current assets		-	27 174
---------------------------------------	--	---	--------

Total non-current assets		129 481	424 745
---------------------------------	--	----------------	---------

CURRENT ASSETS

Accounts receivable	9, 19	713	13 242
Tax receivable NCS	6, 19	238 588	563 994
Other receivables	9, 19	8 041	10 170
Cash and cash equivalents, restricted guarantee	10, 19	-	66 000
Cash and cash equivalents	10, 19	88 800	181 169

Total current assets		336 142	834 575
-----------------------------	--	----------------	---------

TOTAL ASSETS		465 623	1 259 320
---------------------	--	----------------	-----------

Figures in NOK 1000

Notes

2012

2011

EQUITY AND LIABILITIES**EQUITY****Paid-in capital**

Share capital	11	8 706	348 222
Treasury shares	11	-22	-25
Share premium reserve		86 927	222 444
Currency translation differences		49 000	39 628
Additional paid-in capital		902 436	430 798

Total paid-in capital		1 047 047	1 041 067
------------------------------	--	------------------	-----------

Retained earnings

Retained earnings/(loss carried forward)		-834 568	-632 857
--	--	-----------------	----------

Total equity		212 478	408 210
---------------------	--	----------------	---------

LIABILITIES**Non-current liabilities**

Deferred tax liabilities	6	66 019	147 723
--------------------------	---	--------	---------

Total non-current liabilities		66 019	147 723
--------------------------------------	--	---------------	---------

Current liabilities

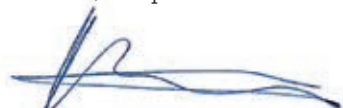
Bond loan	18, 19	-	128 982
NCS credit facility	18, 19	120 240	551 721
Accounts payable and other payables	15, 19	64 060	16 102
Other current liabilities	15, 19	2 827	6 583

Total current liabilities		187 127	703 388
----------------------------------	--	----------------	---------

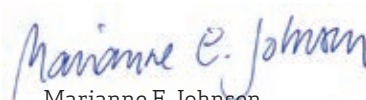
Total liabilities		253 146	851 111
--------------------------	--	----------------	---------

TOTAL EQUITY AND LIABILITIES		465 623	1 259 320
-------------------------------------	--	----------------	-----------

Oslo, 30 April 2013


 Henrik A. Christensen
 Chairman


 Eva von Hirsch
 Board Member


 Marianne E. Johnsen
 Board Member


 Nick Johnson
 Board Member


 Ole Wiborg
 Board Member


 Helge Ringdal
 Board Member


 Susan Graham
 Board Member


 Chris Spencer
 Chief Executive Officer

Cash flow statements

Figures in NOK 1000

Notes

2012

2011

OPERATING ACTIVITIES

Profit/(loss) before taxes from continued operations		-348 768	-549 849
Profit/(loss) from discontinued operations		-	-676

Profit/(loss) before taxes		-348 768	-550 526
-----------------------------------	--	-----------------	----------

Adjustments for:

Net interest expenses/(income)	5	28 937	19 316
Share of income/(loss) in associates	14	26 148	8 303
Repayment following ruling in the OTB	6	-48 325	-
Tax refund NCS exploration expenses	6	564 003	160 173
Depreciation, amortisation and impairment	7,8	94 638	54 291
Previously capitalised exploration expenses	3	12 521	25 498
Share-based remuneration	21	-3 393	4 089
(Gain)/loss from sale of assets	24	-41 229	-
Interest received		15 886	18 934
Interest paid		-34 438	-44 474
Changes in accounts receivable	9	12 530	-821
Changes in accounts and other payables	15	40 979	-20 422
Changes in other current balance sheet items		12 612	-20 018
Discontinued operations		-	6 571

Net cash flow from operating activities	1	332 101	-339 083
--	---	----------------	----------

INVESTING ACTIVITIES

Proceeds from sale of assets	8,24	76 464	-
Additions to tangible assets and capitalised exploration expenses	7,8	-2 291	-241 292
Cash flow from discontinued operations		-	16 854

Net cash flow from investing activities	1	74 173	-224 438
--	---	---------------	----------

FINANCING ACTIVITIES

Net capital increase	11	-	243 493
Restricted bank deposit, guarantee NCS credit facility	10	-	-66 000
Proceeds from issuance of short term debt	18	99 900	555 000
Repayment of short term debt	18	-663 770	-209 804

Net cash flow from financing activities	1	-563 870	522 690
Effect of changes in exchange rates on cash and cash equivalents		-774	-2 870

Net change in cash and cash equivalents		-158 370	-43 702
Cash and cash equivalents 01.01		247 169	224 870

Cash and cash equivalents 31.12	10	88 800	181 169
Cash and cash equivalents, restricted guarantee	10	-	66 000

Total cash and cash equivalents 31.12	10	88 800	247 169
--	----	---------------	---------

Statements of changes in equity

Figures in NOK 1000	Notes	Share capital	Treasury shares	Share premium reserves	Other paid-in equity	Currency translation differences	Retained earnings	Total majority	Minority interest	Total equity
Equity 1 January 2012	11	348 222	-25	222 444	430 798	39 628	-632 856	408 210	-	408 210
Net profit/(loss) for the period		-	-	-	-	-	-201 711	-201 711	-	-201 711
Exchange differences on translating foreign operations		-	-	-	-	9 372	-	9 372	-	9 372
Total comprehensive income/(loss)		-	-	-	-	9 372	-201 711	-192 339	-	-192 339
Net capital increase	11	0	-	-	-	-	-	0	-	0
Share-based remuneration	21	-	-	-	-3 393	-	-	-3 393	-	-3 393
Transfers	11	-339 516	-	-135 517	475 034	-	-	-	-	-
Treasury shares, reversed split	11	-	3	-	-3	-	-	-	-	-
Equity 31 December 2012	11	8 706	-22	86 927	902 436	49 000	-834 568	212 478	-	212 478
Equity 1 January 2011	11	262 612	-25	197 581	290 217	43 727	-454 537	339 575	25	339 600
Net profit/(loss) for the period		-	-	-	-	-	-178 319	-178 319	-13	-178 333
Exchange differences on translating foreign operations		-	-	-	-	-4 099	-	-4 099	-	-4 099
Total comprehensive income/(loss)		-	-	-	-	-4 099	-178 319	-182 418	-13	-182 431
Capital increase	11	85 610	-	170 558	-	-	-	256 168	-	256 168
Transaction costs for issued share capital, net of tax		-	-	-9 203	-	-	-	-9 203	-	-9 203
Share-based remuneration	21	-	-	-	4 089	-	-	4 089	-	4 089
Transfers		-	-	-136 492	136 492	-	-	-	-	-
Minority interest, dividends		-	-	-	-	-	-	-	-13	-13
Equity 31 December 2011	11	348 222	-25	222 444	430 798	39 628	-632 856	408 210	-	408 210

Summary of significant accounting policies

1 Corporate information

Rocksource ASA ("the Company") is a Norwegian company, with the head office located at Thormøhlensgate 53D, Bergen. The Company is a public limited liability company and is listed on the Oslo Stock Exchange (Norway). The object of the company is to carry out exploration for and production of oil and gas, among other by application of advanced technology, and all other activities that may reasonably be associated therewith, hereunder participation in other companies world-wide, including debt financing of subsidiaries and associates. For more details of the Company's activities, see the Board of Directors' Report.

The consolidated financial statements for the financial year 2012 include the Parent Company and all its subsidiaries (together referred to as "the Group"). The Group consists of the Parent Company based in Norway, with subsidiaries in Norway, the United Kingdom and the US.

The consolidated financial statements were approved by the Board of Directors on 30 April 2013.

2 Basis of preparation

A STATEMENT OF COMPLIANCE

The consolidated financial statements are prepared in accordance with International Financial Reporting Standards (IFRS) and are valid as of 31 December 2012 as adopted by the EU and with interpretations issued by the International Accounting Standards Board (IASB).

As permitted by IAS 1, the statement of comprehensive income is presented on a mixed basis as a blend of expenses by nature and function, as this gives the most relevant and reliable presentation for the Group.

B BASIS OF MEASUREMENT

The consolidated financial statements have been prepared on a historical cost basis, except the following: All derivatives, all financial assets and liabilities held for trading and liabilities related to share-based payments are measured at fair value.

C FUNCTIONAL AND PRESENTATION CURRENCY

The consolidated financial statements are presented in NOK and all tabular and note amounts are rounded to the nearest thousand, except when otherwise

indicated. The consolidated financial statements are prepared with uniform principles for identical transactions and circumstances under otherwise identical conditions. The consolidated income statements are presented according to type of income and expenses.

D USE OF ESTIMATES AND ASSUMPTIONS

The preparation of the consolidated financial statements in accordance with IFRS requires that management make considerations and estimates with assumptions that influence the use of accounting principles and recorded amounts for assets, liabilities, income and expenses. Estimates and assumptions are based on historical experience and other factors that are considered reasonable according to the circumstances. These calculations form the basis for an assessment of the carrying amount of assets and liabilities that do not emerge clearly from other sources. Actual results can differ from these estimates. Estimates and underlying assumptions are continually evaluated. Changes in accounting estimates are calculated in the period that the changes occur, if they concern that particular period. If the changes affect future periods, the effect is distributed over the current and future periods.

Management assessments made with the use of IFRS standards, having a considerable effect on the consolidated financial statements and estimates with significant risk of major adjustments having to be made in the next financial year, are explained in note 22.

Impairment testing of intangible assets

The Group's non-current assets are impaired when circumstances indicate that there may be a potential decline in value. Estimating recoverable amounts of assets are partly based on management evaluations, including estimates of future performance, revenue generating capacity of the assets, and assumptions of the future market conditions. Changes in circumstances and in management's evaluations and assumptions may give rise to impairment losses in the relevant periods.

The carrying value of goodwill is reviewed for impairment at least annually or whenever events or changes in circumstances indicate the carrying value may not be recoverable. Other intangible assets are reviewed for impairment whenever events or changes

indicate that the carrying value may not be recoverable. This requires an estimation of certain key input that includes a considerable degree of uncertainty. This input includes estimations about the probability of future discoveries with and without EM, the size of future discoveries, cost of drilling, discount rates, annual index regulations and share of future prospects. The combination of these variables allows the Group to make an estimate of the expected future cash flows from the cash generating unit. The impairment testing is done at the cash generating level to which the goodwill has been allocated. Impairment losses taken will, in accordance with IFRIC 10, not be reversed in subsequent periods.

Deferred tax assets

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies. See note 6 for further information.

Contingent liabilities

Contingent liabilities are possible future liabilities that will only become certain on the occurrence of some future events.

Material contingent liabilities are disclosed, with the exception of contingent liabilities where the probability of occurrence is low.

E CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

New and amended standards, and interpretations mandatory for the first time for the financial year beginning 1 January 2012. Their adoption has not had any significant impact on the amounts reported in these financial statements, but may affect the accounting for future transactions or arrangements. None of them were relevant for the Group.

3 Significant accounting policies

A BASIS FOR CONSOLIDATION

Subsidiaries

The consolidated financial statements comprise the financial statement of Rocksource and entities controlled by the Company (its subsidiaries). Control is achieved where the Company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed during the year are included in the consolidated financial statement from the effective date of acquisition or up to the effective date of disposal, as appropriate.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies. All intercompany balances and transactions have been eliminated upon consolidation.

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree.

The purchase consideration is allocated to the identifiable assets, liabilities and contingent liabilities (identifiable net assets) on the basis of fair value at the date of acquisition. These provisional estimates are finalised within 12 months of the acquisition date with adjustments being recorded against goodwill.

Goodwill is initially measured at cost, being the excess of the cost of the business combination over the Group's share in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities.

If the fair value attributable to the Group's share of the identifiable net assets exceeds the fair value of the consideration, the Group reassesses whether it has correctly identified and measured the assets acquired and liabilities assumed. Any additional assets or liabilities that are identified in that review are recognised. If excess over fair value of the consideration remains after reassessment, the Group recognises the resulting gain in the income statement on the acquisition date.

Transaction costs related to business combinations are expensed. Transaction costs include costs related to the transaction, such as corporate advisors' fees, legal fees, due diligence fees, stamp duties, and accounting services.

Acquisitions made by the Company which do not qualify as a business combination under IFRS 3 "Business Combinations", are accounted for as asset acquisitions.

Investment in an associate

The Group's investment in associates is accounted for using the equity method of accounting. An associate is an entity in which the Group has significant influence over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20 and 50 per cent of the voting power of another entity.

The financial statements of the associate are prepared for the same reporting period as for the Group. Where necessary, adjustments are made to bring the accounting policies in line with the Group principles.

The investment in an associate is carried in the balance sheet at cost plus post-acquisition changes in the Group's share of net assets of the associate, less any impairment in value. The income statement reflects the share of the results of operations of the associate as financial income or expense. Where there has been a change recognised directly in the associate's equity,

the Group recognises its share and discloses this, when applicable, in the statement of other comprehensive income.

The Group assesses investments in associates for impairment whenever events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication of impairment exists, the carrying amount of the investment is compared with its recoverable amount, being the higher of its fair value less costs to sell and value in use. Where the carrying amount exceeds the recoverable amount, the investment is written down to its recoverable amount.

Interest in joint ventures

Certain of the Group's activities, particularly in the exploration and production segment, are conducted through joint ventures where the ventures have a direct ownership interest in, and jointly controls the assets of the venture. The Group recognises, on a line by line basis, its share of the assets, liabilities and expenses of these jointly controlled assets, along with the Group's income from the sale of its share of the output and any liabilities and expenses incurred in relation to the venture.

The Group does not recognise its share of profits and losses from the joint venture that result from the Group's purchase of assets from the joint venture until it divests the assets to an independent party. However, if a loss on the transaction provides evidence of a reduction in the net realisable value of current assets or an impairment loss, the loss is recognised immediately.

Elimination of transactions on consolidation

Internal transactions within the Group and intercompany items, including internal profit and unrealised gains, are eliminated.

B FOREIGN CURRENCY

The Group presents its consolidated financial statements in NOK. This is also the Parent Company's functional currency.

Transactions made in foreign currency

Transactions made in foreign currency are translated at the exchange rate valid at the time of the transaction. Monetary assets and liabilities in foreign currency are translated into NOK by using the exchange rate valid at year-end. The difference in exchange rates occurring during translation are included in the income statement. Non-monetary assets and liabilities that are measured at historical cost in a foreign currency are translated at the exchange rate at the time of the transaction. Non-monetary assets and liabilities with amounts in foreign currency and accounted for at fair value, are translated to NOK by use of the exchange rate applicable at the time when the fair value was established.

Financial statements for foreign entities

Assets and liabilities for foreign entities, including goodwill and fair value adjustments that occur upon consolidation, are translated into NOK at the exchange rate valid at year-end. Income and expenses from foreign entities are translated into NOK at a monthly average exchange rate. The exchange differences arising at translation are recognised in the statements of comprehensive income.

On disposal of a subsidiary, the deferred cumulative amount of exchange gains and losses recognised in equity is reclassified to the income statement.

C FINANCIAL INSTRUMENTS – INITIAL RECOGNITION AND SUBSEQUENT MEASUREMENT

Non-derivate financial assets and financial liabilities

Initial recognition and measurement

Financial assets and financial liabilities within the scope of IAS 39 are classified as financial assets and liabilities at fair value through profit or loss, loans and receivables or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial assets and liabilities at initial recognition. All financial assets are recognised initially at fair value plus, in the case of investments not at fair value through profit or loss, directly attributable transaction costs.

The Group's financial assets include cash and short term deposits, trade and other receivables, loans and derivative financial instruments. The Group's financial liabilities include accounts payable and other payables, loans and borrowings.

Subsequent measurement

The subsequent measurement of financial assets and liabilities depends on their classification as follows:

- Fair value with changes in value through profit or loss
- Loan and receivable
- Loan and borrowings
- Other liabilities

Fair value through profit and loss

Financial instruments that are primarily held with the objective of selling them or buying them back in the short term, financial instruments that form part of a portfolio of identified instruments which are managed together and where there are clear traces of short term realisation and derivatives that are not designated as hedging instruments are classified as held for trading purposes.

Upon initial recognition attributable transaction costs are recognised in profit or loss as incurred. Financial assets and liabilities at fair value through profit or loss are measured at fair value, and changes therein are recognised in profit or loss as a financial

income or expense. Financial instruments held for trading purposes are classified as current assets or liabilities.

Derivate financial instruments

Derivative financial instruments such as currency and interest rate swaps are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. The derivative financial instrument is not held for trading, and is not designated in a qualifying hedge relationship and all changes in its fair value are recognised immediately in profit or loss.

Cash and cash equivalents

Cash and cash equivalents with an original maturity of three months or less, include bank deposits and are recorded at nominal value in the financial statements. Restricted deposits are included in the item, see note 10.

Loan and receivable

Investment classified as loan and receivable is measured at amortised cost using the effective interest rate method. This classification is used for non-derivative assets with fixed or determinable payments that are not quoted in an active market. Profit and loss is recognised in the income statement when the loan or receivable is derecognised, impaired or through the amortisation process.

Loan and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate method.

Interest bearing liabilities

Interest bearing liabilities, including debt, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

Other liabilities

Accounts payable and other short term liabilities are recorded in the financial statements at cost. Financial liabilities that are not held for trading purposes, and which have not been designated as being at fair value with changes in value through profit or loss, are classified as other liabilities.

D TANGIBLE ASSETS

Furniture, fixtures and office machines

Recognition and measurement

Tangible assets are recorded in the financial statements at historical cost, less accumulated depreciation and impairment. When parts of the tangible assets have different useful lives, these are recorded in the financial statements as separate items.

An item of tangible assets is derecognised upon disposal or when no economic benefits are expected from its use or disposal. Any profit or loss arising on derecognising of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the income statement in the year the asset is derecognised.

Subsequent costs

Costs for replacement of parts of equipment are recorded as an asset, when the cost is assumed to give the Group an economic benefit related to the replacement, and the expense of the replaced parts can be reliably measured. All other costs are recorded in the financial statements for the actual period.

Decomposition

Substantial cost components included in larger installations are identified individually for an evaluation of the actual components' expected economic useful lives and recoverable amount. The individual expected economic useful life is the basis for depreciation.

Depreciation

Depreciation is calculated on a straight-line basis over the useful lives of the assets, taking into account any material residual value. The useful lives can be summarised as follows: Furniture, fixture and office machines: 3-5 years.

The assets' residual values, useful lives and methods are reviewed, and adjusted if appropriate, at each financial year-end.

E INTANGIBLE ASSETS

Goodwill

After initial recognition, goodwill is measured at cost, less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash generating units that are expected to benefit from the synergies of the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Research and development

Research costs are expensed as incurred.

Costs of development activities, where the research result is used in a plan or model for the production of new or considerably improved products or processes, are recorded as an asset if the product or process is technically and commercially viable. Capitalised

development costs are recorded as an asset at cost, less accumulated depreciation and write-downs. The development costs are depreciated from the date they are available for use, and depreciated on a straight line basis over the estimated useful life, which is 5 years.

Licences

Oil-related licences and capitalised exploration and evaluation costs are classified as intangible assets until plan for development and operation has been approved. Capitalised amounts will be transferred to tangible fixed assets and will be depreciated in accordance with the units-of-production method when approval is granted.

When oil-related exploration licences are purchased, the cost price will be capitalised as an intangible asset. After initial recognition they will be treated in accordance with the general principles for intangible assets. Under the successful efforts method, costs associated with drilling of exploratory wells and evaluation costs are capitalised. Capitalised amounts are classified as intangible assets and are treated according to general valuation rules. Exploration and evaluation costs related to unsuccessful drilling that is considered not commercially recoverable are charged to expense. Capitalised exploration and evaluation costs are transferred to tangible fixed assets, if it is decided to further develop the project.

Impairment

See section 3F.

Subsequent costs

Subsequent costs concerning intangible assets are recognised in the financial position when they increase the future economic benefits related to the asset. All other costs are recorded in the income statements in the actual period.

F IMPAIRMENT

Non-financial assets

The carrying amount of the Group's assets is reviewed at least annually or whenever changes in circumstances indicate that the carrying value may not be recoverable. If such indications are present, an estimate is made of the recoverable amount of the asset.

The recoverable amount is reviewed annually for goodwill and intangible assets that are still not available for use, including exploration and development costs in connection with oil and gas properties. Impairment is recorded in the financial statements when the carrying amount of the asset or the cash flow generating unit exceeds the recoverable amount. Impairment is recorded in the income statement.

Unproved oil and gas properties are assessed for impairment when facts and circumstances suggest that the carrying amount of the asset may exceed

its recoverable amount, and at least once a year. Exploratory discovery wells that have found reserves, but where classification of those reserves as proved depends on whether major capital expenditure can be justified or where the economic viability of that major capital expenditure depends on the successful completion of further exploration work, will remain capitalised during the evaluation phase for the exploratory finds. Thereafter it will be considered a trigger for impairment evaluation of the discovery if no development decision is planned for the near future, and there moreover are no concrete plans for future drilling in the licence.

Impairment for cash flow generating units is distributed by reducing the carrying amount of any goodwill in cash flow generating units. The remaining impairment is then distributed among the remaining assets according to their carrying amount.

Calculation of recoverable amount

Recoverable amount is the higher of net sales price and net present value. Net present value is calculated by discounting expected future cash flows to present values by using discount rates before tax that reflect the value of money and the risk related to the specific asset. For assets that do not generate independent cash flows, the recoverable amount is compared with the cash flow generating unit the asset belongs to. Further details about methods and calculation assumptions concerning intangible assets are given in note 8.

Reversing impairment

Impairment of goodwill is not reversed. For other assets, write-downs are reversed if there is a change in the estimates used to calculate the recoverable amount. Impairment is reversed only to the degree that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment had been calculated.

Financial assets

Financial assets valued at amortised cost are written down when it is probable, based on objective evidence, that the instrument's cash flows have been negatively affected by one or more events occurring after the initial recognition of the instrument. The impairment loss is recognised in the income statement. If the reason for the impairment loss disappears in a later period and this disappearance can be objectively linked to an event that takes place after the impairment loss has been recognised, the previous write-down is reversed. The reversal must not result in the carrying amount of the financial asset exceeding the amount that the amortised cost would have been if the impairment loss had not been recognised on the date when the write-down was reversed. The reversal of a previous impairment loss is presented as income.

G FARM-IN/FARM-OUT

A farm-in/farm-out involves a situation where the owner of a working interest transfers all or a portion to another party (the farminee) in return for a farminee's performance of some agreed upon action. For example, the farminee may agree to undertake the exploration of a property, drill a well(s), or develop the property. In return, the farmminor agrees to transfer all or a portion of the working interest in the property to the farminee.

The farminee should capitalise or expense the exploration, drilling and development costs as incurred in accordance with the applied accounting method, i.e. successful efforts method. The farminee does not record any receivable nor any of its costs assigned to the acquisition of a mineral interest. In other words, the farminee may capitalise wells and equipment costs but not capitalised property acquisition costs. The farmminor does not record any well or equipment costs. There are no accruals for future commitments in farm-in/farm-out agreements in the exploration and evaluation phase, and no profit or loss is recognised by the farmminor. In the development phase, a farm-in/farm-out agreement will be treated as a transaction recorded at fair value as represented by the costs carried by the farminee.

A farm-in agreement is recognised when the risk and reward is transferred from the farmminor, which normally is at the time necessary governmental approval is obtained.

H ACCOUNTS RECEIVABLE AND OTHER SHORT TERM RECEIVABLES

Accounts receivable and other short term receivables are recognised initially at fair value. In connection with the sale of goods and services fair value will generally coincide with invoiced amount. Receivables are subsequently valued at amortised cost, determined using effective interest rate method less provisions for bad debt. Bad debt provisions are recognised when there are objective indications that the Group will not receive settlement in accordance with the original terms.

I EQUITY

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognised as a reduction of equity net of any tax effects. See section 3B for currency translation differences.

J LEASING EXPENSES

The determination of whether an arrangement is or contains a lease is based on the substance of the arrangement when agreed and depends on whether the fulfillment of the arrangement is subject to the use of a specific asset(s), or the arrangement conveys a right to use the asset.

Leases are classified as financial leases if the terms of the lease agreement transfer substantially all risk and benefits incidental to the ownership of the leased item. Other leases are classified as operational lease.

Financial leased assets are depreciated over the shorter of the estimated useful life and the lease period.

For operational leases, the payments are recognised as an expense and charged to the income statement on a straight line basis over the period of the lease.

Borrowings containing prepayment options are evaluated to determine if these options are closely related to the borrowing instrument. In assessing whether the option is closely related, the Group considers whether the exercise price is approximately equal to amortised cost at each exercise date, if not the embedded derivative is accounted for separately.

K BENEFITS TO EMPLOYEES

Pension arrangements

The Group has only defined contributions plans. Contributions are paid to pension insurance plans and charged to the income statement in the corresponding period. Once the contributions have been paid, there are no further payment obligations.

Share-based remuneration

The Group operates an equity-settled, share-based compensation plan where employees are granted options to buy shares in the Parent Company. Fair value of granted options is recorded at cost with a corresponding increase in equity and is measured at the date they are granted. The cost is recorded over the period in which the performance conditions are fulfilled, ending on the date when they become fully entitled to the award ("vesting date"). The fair value is determined by using the Black-Scholes model. Volatility is calculated based on historical developments in the share price.

If the share options are vested at the grant date, the fair value of granted options is recorded as an expense in the financial statement at the grant date.

L PROVISIONS

A provision is recorded when the Group has a present legal or constructive obligation as a result of past events and it is probable that payments will be demanded from the Group to fulfill the obligation.

M REVENUE RECOGNITION

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable for goods and services provided in the normal course of business, net of discounts and sales related taxes.

Interest income is recorded in the financial statements based on the effective interest method, as the interest is earned. Dividends are recorded at the date that the right to receive payment is established, i.e.

following an approval from the General Meeting of the company paying the dividend.

Licences, or parts of licences, that are disposed of are recognised at the time of the transaction. Any gain or loss is recognised in other operating income.

N INCOME TAXES

The tax expense consists of tax payable and changes to deferred tax. Tax payable and deferred taxes are recorded directly in equity to the extent that they relate to factors that are recorded directly in equity.

Deferred tax/tax assets are calculated on all taxable temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes except goodwill. Tax increasing and tax decreasing temporary differences, as well as tax losses carried forward which are offset or can be offset in the same period, are recorded net, and are the basis for deferred tax assets for the Group. Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Net deferred tax assets are recorded as intangible assets and net deferred tax liabilities are recorded as long term liabilities. Deferred tax assets are recorded to the extent that sufficient taxable profit will be available to allow the deferred tax assets to be utilised.

Oil companies that operate on the Norwegian Continental Shelf are subject to the Norwegian oil taxation regime. Under this regime oil companies that are not in a taxable position can claim a 78 per cent refund of its exploration costs, limited to the taxable loss for the current year. The deferred tax can only be netted off within each tax regime.

O RELATED PARTIES

Parties are related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Key management is also considered to be a related party. All transactions between the related parties are recorded at estimated market value.

P EARNINGS PER SHARE

The calculation of basic earnings per share is based on the profit attributable to ordinary shareholders using the weighted average numbers of shares outstanding during the year after deducting the average number of treasury shares held over the period. The calculation of diluted earnings per share is consistent with the calculation of basic earnings per share while giving effect to all dilutive potential ordinary shares that

were outstanding during the period. The weighted average number of additional ordinary shares that would have been outstanding assuming the conversion of all diluted potential ordinary shares increases the weighted average number of ordinary shares outstanding. The amount of dilution is the average market price of ordinary shares during the period subtracting the issue price of the options.

Q SEGMENT INFORMATION

Operating segments are reported in a manner consistent with the internal financial reporting provided to the chief operating decision-maker. A segment indicates an identifiable unit that either delivers goods or services (business segment), or delivers products or services within a certain economic location (geographic segment). In addition, the segment has a risk and yield that is different to other segments. The non-allocated segment includes the effect of eliminating intercompany transactions between the segments.

R SUBSEQUENT EVENTS

Subsequent events consist of new information concerning events existing at year-end. Information regarding events existing at year-end will affect the financial statements while information regarding events after year-end does not affect the financial statements. Regardless of the effect on the financial statements, material events arising after year-end are disclosed in the notes.

S CASH FLOW STATEMENT

The Group reports its cash flow statement according to the indirect method. This means that net profit/loss for the year is adjusted for the effect of transactions with no cash flow effect and liabilities/accruals to display net cash flows from operating activities. Items associated with investment and financing activities are shown separately.

T DISCONTINUED OPERATIONS

A discontinued operation results from a decision, pursuant to a single disposal plan, to divest an operation comprising a separate major line of business, for which the assets less liabilities and net financial results may be distinguished physically, operationally and for financial reporting purposes. The pre-tax gain or loss on disposal of discontinued operations, as well as the financial results from discontinued operations, are shown as a separate item on the consolidated statement of comprehensive income.

U APPROVED IFRS STANDARDS AND IFRIC INTERPRETATIONS NOT YET EFFECTIVE

The following standards and amendments to existing standards have been published and are mandatory for the Group's accounting periods beginning on or after 1 July 2012 or later periods. The standards have not been

early adopted by the Group. The effective date is set to EU's effective date in cases where it deviates from IASB's effective date. The Group has listed those standards and interpretations that are not yet effective, which it reasonably expects to have an impact on its accounting policy, financial position or performance.

IFRS 10 Consolidated Financial Statements

The amendments supersede the current IAS 27 and SIC 12. The amendment becomes effective for annual periods beginning on or after 1 January 2014.

IFRS 11 Joint Arrangements

IFRS 11 replaces IAS 31 Interests in Joint Ventures and SIC-13 Jointly Controlled Entities – Non-Monetary

Contributions by Venturers. IFRS 11 deals with how a joint arrangement should be classified where two or more parties have joint control. There are two types of joint arrangements under IFRS 11: joint operations and joint ventures. These two types of joint arrangements are distinguished by parties' rights and obligations under the arrangements. The amendment becomes effective for annual periods beginning on or after 1 January 2014.

IFRS 12 Disclosure of Involvement with Other Entities

IFRS 12 includes all of the disclosures that were previously in IAS 27 related to consolidated financial statements, as well as all of the disclosures that were previously included in IAS 31 and IAS 28. These disclosures relate to an entity's interests in subsidiaries, joint arrangements, associates and structured entities. A number of new disclosures are also required. This standard becomes effective for annual periods beginning on or after 1 January 2014.

IAS 1 Presentation of Items of Other Comprehensive Income (OCI)

The amendments to IAS 1 introduce new terminology for the statement of comprehensive income and income statement. Under the amendments to IAS 1, the statement of comprehensive income is renamed as a statement of profit or loss and other comprehensive income and the income statement is renamed as a statement of profit or loss. The amendments specify how records belonging OCI should be classified and companied in the accounts (including tax on the relevant items). The amendments do not change the option to present items of other comprehensive income either before tax or net of tax. The amendment becomes effective for annual periods beginning on or after 1 July 2012.

IAS 19 Employee Benefits

The amendments to IAS 19 change the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for

changes in defined benefit obligations and plan assets. The amendment becomes effective for annual periods beginning on or after 1 January 2013.

IAS 28 Investments in Associates and Joint Ventures (as revised in 2011)

As a consequence of the new IFRS 11 and IFRS 12, IAS 28 has been renamed IAS 28 Investments in Associates and Joint Ventures, and describes the application of the equity method to investments in joint ventures in addition to associates. The amendment becomes effective for annual periods beginning on or after 1 January 2014.

NOTE 1 SEGMENT INFORMATION

The information is organised by business area and geography. The reporting format is based on the Group's management and internal reporting structure as well as risk and reward similarities, and the key management is considered to be the chief decision maker in the Group.

Transfer pricing between segments is based on estimated market value. The segment result, assets and liabilities include items that are directly related to the segments. The segment "Non-allocated activities" are mainly "Onshore Oil & Gas activities" before sale, intercompany sales, interest-bearing loans and other associated expenses and assets related to administration of the Group.

The segments' investment expenses comprise total expenses in the period for the acquisition of assets that have an expected useful life of more than one year.

Business segments

The Group reports along the following main business segments:

- Offshore oil and gas: Exploration activities
- Geo-technical activities: Development and employment of advanced technology for the integrated interpretation of geological, seismic and electromagnetic data for the identification of hydrocarbon reserves.

The segment "Onshore Oil & Gas activities" was until June 2011, when Rocksource sold the US onshore producing fields, a previous business segment. The 2011 numbers for this discontinued segment "Onshore Oil & Gas activities" have been allocated to the segment "Non-allocated" (intercompany elimination) in the table below; This includes reported net financial expenses in 2011 of NOK 8.8 million, total assets of NOK 0.8 million, total liabilities of NOK 0 million, negative cash flow from operating activities of NOK 22.5 million and cash flow from investing activities of NOK 16.9 million. 2011 results from the US onshore producing fields are stated in note 23 – Discontinued operations.

The NCS asset transaction with Valiant, see note 24, represents NOK 41.2 million out of total operating income of NOK 55.6 million in 2012.

	Offshore Oil & Gas activities		Geo-technical activities		Non-allocated activities		Total	
Figures in NOK 1000	2012	2011	2012	2011	2012	2011	2012	2011
Total operating income	58 861	200 655	15 774	13 712	-19 055	-28 334	55 579	186 034
Exploration expenses	-235 758	-644 223	-	-15	-	-	-235 758	-644 238
Other general and administrative expenses	-11 815	-27 409	-16 175	-22 972	19 055	28 334	-8 934	-22 047
Depreciation, amortisation and impairment ¹⁾	-1 599	-2 613	-93 039	-51 678	-	-	-94 638	-54 291
Operating profit/(loss)	-190 311	-473 590	-93 440	-60 953	-	-	-283 751	-534 542
Net financial income/(expenses)	-39 128	2 197	-25 889	-8 708	-	-8 797	-65 017	-15 307
Profit/(loss) before taxes	-229 439	-471 392	-119 329	-69 660	-	-8 797	-348 767	-549 849
Income tax	147 057	385 560	-	-13 367	-	-	147 057	372 194
Net profit/(loss) from continued operations	-82 382	-85 832	-119 329	-83 027	-	-8 797	-201 711	-177 656
Total assets	453 481	1 126 157	11 340	194 559	803	-61 396	465 623	1 259 320
Total liabilities	251 850	1 067 867	1 590	1 821	-295	-218 577	253 146	851 111
Cash flow from operating activities	333 318	-317 499	-1 217	907	-	-22 491	332 102	-339 083
Cash flow from investing activities	74 173	-241 292	-	-	-	16 854	74 173	-224 438
Cash flow from financing activities	-563 870	522 690	-	-	-	-	-563 870	522 690

¹⁾ See note 8 for information on impairment.

The negative income in segment "Non-allocated activities" represents intercompany sales. See note 20 Related parties for more information.

Geographic segments

The geographic segment oil and gas is operated on a global basis. The Group also participates in exploration licences on the Norwegian Continental Shelf (NCS), the UK Continental Shelf, in the Gulf of Mexico, and in the AGC Profond block outside of West-Africa. The activities on NCS and in the AGC Profond are operated through Norwegian subsidiaries. The activity in the US and the UK are operated through domicile in those countries. Geographic segments are mainly based on the Group's corporate structure. The participation in projects/licences without formal company legislation agree-

ments is based on the geographic location of the activity. Goodwill upon acquisition is recognised with the company making the acquisition in its geographic location. The segment "Other regions" includes different projects in the UK, West-Africa and India.

The business segments do not carry independent external financing. The overall financing has been done in the parent entity Rocksource ASA, which again finances the various subsidiaries/business segments. Hence, financing, financial items and working capital are not allocated amongst these.

Figures in NOK 1000	Norway		USA		Other regions		Non-allocated		Total	
	2012	2011	2012	2011	2012	2011	2012	2011	2012	2011
Other operating income, external	54 570	33 226	-	-	1 009	-	-	-	55 579	33 226
Other operating income, internal	19 055	19 213	-	-	-	-	-19 055	-19 213	-	-
Other operating income	-	-	-	-	-	152 807	-	-	-	152 807
Operating profit/(loss)	-252 581	-575 903	-28 363	-26 856	-2 807	68 217	-	-	-283 751	-534 542
Net financial income/(expenses)	-36 243	-7 347	-26 241	-14 740	-2 533	6 780	-	-	-65 017	-15 307
Income tax	147 057	372 193	-	-	-	-	-	-	147 057	372 193
Net profit/(loss) 1)	-141 767	-211 057	-54 604	-41 596	-5 340	74 997	-	-	-201 711	-177 656
Net profit/(loss) 2)	-	-	-	-676	-	-	-	-	-	-676
Net profit/(loss)	-141 767	-211 057	-55 280	-42 272	-5 340	74 997	-	-	-201 711	-178 332
Total assets	812 459	1 328 464	36 255	80 734	10 451	67 278	-393 542	-217 155	465 623	1 259 320
Total liabilities	252 853	849 914	162 998	161 675	57 112	56 677	-219 816	-217 155	253 146	851 111
Cash flow from investing activities	74 142	-241 292	31	16 854	-	-	-	-	74 173	-224 438

1) Net profit/(loss) from continued operations

2) Net profit/(loss) from discontinued operations

NOTE 2 OTHER GENERAL AND ADMINISTRATIVE EXPENSES

Figures in NOK 1000

	2012	2011
Payroll and other related expenses, see note 4	-58 866	-71 854
Other expenses, see specification below	-28 766	-27 747
Total	-87 632	-99 601
- Reclassified as exploration expenses 1)	78 698	77 554
Total other general and administrative expenses	-8 934	-22 047

1) This amount represents the part of general and administrative expenses used to explore on the NCS.

SPECIFICATION OF OTHER EXPENSES

Figures in NOK 1000

	2012	2011
Professional services	-17 727	-2 683
Office expenses, office leases, IT development and similar	-10 008	-19 823
Travel	-1 558	-3 791
Other expenses	527	-1 449
Total other expenses	-28 766	-27 747

AUDITOR FEES FOR THE GROUP

Fees paid to the auditor (excluding VAT):

Figures in NOK 1000

	2012	2011
Auditor fee	-1 312	-996
Other financial auditing	-348	-239
Attesting services	-37	-35
Tax advisory services	-75	-323
Other advisory services	-20	-
Total auditor fees	-1 792	-1 593

NOTE 3 EXPLORATION EXPENSES

Figures in NOK 1000

	2012	2011
Exploration expenses related to licence participation	-18 974	-52 379
Exploration expenses, other external expenses (seismic, EM, etc)	-125 566	-42 863
Exploration expenses, external	-144 539	-95 242
Reclassified from general and administrative expenses	-78 698	-77 554
Exploration expenses, capitalised in previous year	-12 521	-25 498
Exploration expenses, dry wells current year	-	-445 944
Total exploration expenses, income statement	-235 758	-644 238

In accordance with the successful effort method, previously capitalised exploration expenses are reclassified to exploration expenses in the income statement when the drilling results are negative or licences are relinquished and written-down.

The Item "Exploration expenses, capitalised in previous year" in 2012 of NOK 12.5 million represent relinquishment or write-down of seven licences in the Gulf of Mexico. Total "Exploration expenses, dry wells current year" in 2011 of

NOK 445.9 million was related to dry wells in PL 530, PL 559, PL 416 and the Kora well in the AGC (Profond) licence.

Valiant covered in 2012 NOK 25.2 million of the exploration expenses in the licences that Valiant farmed into (the carry-fund).

The total drawdown of the carry-fund in 2012 was NOK 36.6 million, the difference of NOK 11.4 million is recognised in the balance sheet and covers capitalised drilling cost in the licences that Valiant farmed into.

NOTE 4 EMPLOYEE EXPENSES

Figures in NOK 1000

	2012	2011
Salaries, bonuses and holiday pay	-50 978	-55 954
Social security costs	-7 749	-8 372
Pensions	-2 211	-2 382
Share-based remuneration	3 393	-4 089
Other employee costs	-1 321	-3 666
Discontinued operations	-	2 609
Total	-58 866	-71 854
Average number of man years employed	37.3	44.3

See note 21 for remuneration to the key management.

Bonus

A bonus accrual of NOK 6.6 million has been reflected in 2012 (2011: NOK 0.0 million).

Shared-based remuneration

Expensed share-based remuneration for 2012 (excluding employer's social security contributions) is a net income of NOK 3.4 million. In 2012 a reversal of previous expensed option costs created an income of NOK 5.6 million (excluding employer's social security contributions).

Pensions

Rocksource has a defined contribution scheme for employees in Norway. Rocksource meets the requirements for mandatory pension ("obligatorisk tjenestepensjon") in Norway. There are no pension obligations for the employees in the US subsidiaries.

NOTE 5 NET FINANCIAL INCOME/(EXPENSES)

Figures in NOK 1000

	2012	2011
Interest income	10 777	9 140
Net currency gain	-	5 201
Gain on financial derivatives at fair value through profit and loss	-	4 759
Other financial income	5 110	9 794
Total financial income	15 886	28 894
Interest expenses	-44 823	-32 666
Net currency loss	-9 241	-
Other financial expenses	-690	-3 232
Total financial expenses	-54 754	-35 898
Total share of income/(loss) in associates ¹⁾	-26 148	-8 303
Net financial income/(expenses) through profit and loss	-65 017	-15 307

1) See note 14 – Investment in associates.

Net currency loss consists of NOK 9.2 million in currency gain and NOK 18.4 million in currency loss.

NOTE 6 INCOME TAX

Figures in NOK 1000

	2012	2011
TAX EXPENSES/(INCOME) RECOGNISED IN THE INCOME STATEMENT		
Current taxes, refund exploration expenses NCS	-238 588	-563 994
Current taxes, refund previous years NCS	48 316	3 725
Deferred tax, offshore, previous years	2 650	-1 454
Deferred tax, offshore NCS	40 566	176 163
Deferred tax, onshore	-	13 367
Total tax expenses/(income) recognised in the income statement	-147 057	-372 193
RECONCILIATION OF TAX EXPENSES/(INCOME)		
Profit/(loss) before taxes	-348 767	-549 849
Hereof taxable income in foreign countries	-55 934	44 231
Company result for Norwegian companies	-292 834	-594 081
Basis for company tax	-292 834	-594 081
Basis for special tax	-195 553	-536 865
Tax according to ordinary rate [28%]	-81 993	-166 343
Tax according to special tax rate [50%]	-97 776	-268 432
Tax effect of permanent differences	-17 187	33 885
Change in previous years	50 966	1 655
Change in deferred tax assets, not recognised in the financial statements	-1 065	27 042
Tax expenses/(income) for the period	-147 057	-372 193
TAX EFFECT OF TEMPORARY DIFFERENCES IN NORWAY		
Property, plant and equipment	-83 982	-242 507
Other current liabilities	-1 831	-3 796
Tax loss carried forward	77 354	209 342
Basis for deferred tax/deferred tax assets	-8 459	-36 962
Deferred tax assets not recognised in the financial statements [28%]	21 659	20 594
Deferred tax recognised in the financial statements [28%/78%]	-66 019	-147 723
RECONCILIATION OF DEFERRED ASSETS/LIABILITIES		
Opening balance as of 1 January	-147 723	35 147
Deferred tax through income statements	-43 216	-188 076
Deferred tax, recognised directly in gain from Valiant transaction	124 920	-
Deferred tax on share issue cost, recognised directly in equity	-	3 472
Payable tax refund onshore, reclassified to deferred tax in income statements	-	1 734
Closing balance as of 31 December	-66 019	-147 723

For information on the effective tax rate on the NCS, see note 5 in the financial statement of the Parent Company.

DEFERRED TAX ASSET RECOGNISED IN THE FINANCIAL STATEMENTS

As of year-end 2012 the financial position shows deferred tax liabilities of NOK 66.0 million. The amount consists of deferred tax liabilities related to mainly the Norvarg discovery on the NCS. If the Group closes down the activity on

the NCS, any unused tax losses carried forward related to the NCS will be refunded in cash to the Group. There is no time limit on the right to carry forward tax losses in Norway. The Group has not recognised deferred tax assets related to Rocksource Geotech AS or net operating losses in the subsidiaries in the UK or in the US. This is based upon an assessment that the companies will not generate taxable profits to utilise the deferred tax assets within a short term scenario. See note 22 for further information on the assessment of deferred tax asset.

TAX LOSSES CARRIED FORWARD IN THE US

The subsidiaries in the US have as of 31 December 2012 an accumulated tax loss carried forward of NOK 303.2 million (2011 NOK 289.9 million), based on the exchange rate at year-end. With a tax rate of 35 per cent, this represents a non-recognised deferred tax asset of NOK 106.1 million (2011 NOK 101.5 million). The 2012 figures are based on estimates as the tax return for 2012 has not yet been submitted. Tax losses in the US can be carried forward up to 20 years, if not utilised the first tax balances will expire in 2027.

TAX LOSSES CARRIED FORWARD IN THE UK

The subsidiary in the UK has at 31 December 2012 an accumulated tax loss carried forward of NOK 57.8 million (2011 NOK 55.9 million), based on the exchange rate at year-end. With a tax rate of 24 per cent, this represents a non-recognised deferred tax asset of NOK 13.9 million (2011 NOK 15.1 million). Tax losses in the UK can, depending on the classification of the loss, be carried forward for a period of minimum 10 years.

TAX REFUND ON THE NORWEGIAN

CONTINENTAL SHELF - EXPLORATION EXPENSES

Companies operating on the Norwegian Continental Shelf (NCS) are subject to a 50 per cent oil taxation in addition to the ordinary 28 per cent corporate tax. Companies that are not in a taxable position can claim a 78 per cent refund on exploration costs on the NCS. This refund is normally payable in December the following year. This tax income totals NOK 238.6 million for 2012 (2011 NOK 564.0 million). In December, the Group received NOK 573.6 million, including interests, related to the 2011 refund from exploration costs on the NCS. The refund was paid out according to the Company's tax return. The tax refund is pledged as part of the exploration credit facility with SEB.

TAX REFUND ON THE NORWEGIAN CONTINENTAL SHELF - REFUND OF DEFERRED TAXES FOLLOWING A RESTRUCTURING

As a consequence of the restructuring as of 31 December 2012 where the NCS activities were transferred into a fully owned subsidiary of Rocksource ASA, the Company will claim payment from the Norwegian government of the tax value of its uncovered losses pursuant to the Norwegian Petroleum Taxation Act section 3(c)(4). The right to such a refund has been confirmed by an advance tax ruling from the Oil Taxation Board (OTB).

Based on the tax assessment for 2011 covering the tax years up to 2011 and the preliminary tax calculations of 2012, the expected payment amounts to approximately NOK 96.0 million. The final payment will be determined when the Company receives its 2012 tax assessment. The tax refund is expected to be received by Rocksource ASA in December 2013. The refund of the tax values of uncovered loss is booked as tax receivable NCS in the consolidated statements of financial position. Part of the tax refund has been pledged as guarantee in favour of certain vendors.

REPAYMENT OF TAXES FOLLOWING A RULING IN THE OIL TAXATION BOARD

In the first quarter of 2012 a tax provision of NOK 48.3 million related to changes to the assessment of the tax returns for 2007-09 was established reflecting the ruling in the OTB. The claim was settled in July with restricted cash held on an escrow account pending this ruling.

The Company's position regarding the ruling of the OTB remains that it disagrees with the basis for the ruling and the Company has appealed the verdict.

NOTE 7 TANGIBLE ASSETS

Figures in NOK 1000

	Oil and gas properties	Furniture, fixtures and office machines	Total
1 January 2012			
Cost	-	17 862	17 862
Accumulated depreciation and amortisation	-	-14 217	-14 217
Net book amount	-	3 646	3 646
Period ended 31 December 2012			
Opening net book amount	-	3 646	3 646
Exchange differences	-	-14	-14
Disposals	-	-93	-93
Additions	-	870	870
Depreciation and amortisation charge	-	-1 638	-1 638
Closing net book amount	-	2 771	2 771
31 December 2012			
Cost	-	17 416	17 416
Accumulated depreciation and amortisation	-	-14 645	-14 645
Net book amount	-	2 771	2 771
1 January 2011			
Cost	332 916	19 791	352 707
Accumulated depreciation and amortisation	-309 491	-14 995	-324 486
Net book amount	23 425	4 795	28 220
Period ended 31 December 2011			
Opening net book amount	23 425	4 795	28 220
Exchange differences	-	-17	-17
Disposals	-23 425	-39	-23 464
Additions	-	1 559	1 559
Depreciation and amortisation charge	-	-2 653	-2 653
Closing net book amount	-	3 646	3 646
31 December 2011			
Cost	-	17 862	17 862
Accumulated depreciation and amortisation	-	-14 217	-14 217
Net book amount	-	3 646	3 646
Depreciation plan	Unit-of- production	Linear 3 - 5 years	

NOTE 8 INTANGIBLE ASSETS

Figures in NOK 1000	Goodwill	Exploration / acquisition costs	Patents and development costs	Total
1 January 2012				
Cost	154 563	290 925	4 386	449 874
Accumulated depreciation and amortisation	-	-	-4 386	-4 386
Accumulated impairment charges	-51 563	-	-	-51 563
Net book amount	103 000	290 925	-	393 925
Period ended 31 December 2012				
Opening net book amount	103 000	290 925	-	393 925
Exchange differences	-	-2 961	-	-2 961
Additions	-	1 421	-	1 421
Expensed exploration/acquisition costs	-	-12 521	-	-12 521
Disposals ¹⁾	-	-160 154	-	-160 154
Impairment charge	-93 000	-	-	-93 000
Closing net book amount	10 000	116 710	-	126 710
31 December 2012				
Cost	154 563	116 710	4 386	275 659
Accumulated depreciation and amortisation	-	-	-4 386	-4 386
Accumulated impairment charges	-144 563	-	-	-144 563
Net book amount	10 000	116 710	-	126 710
1 January 2011				
Cost	154 563	75 691	4 386	234 640
Accumulated depreciation and amortisation	-	-	-4 311	-4 311
Net book amount	154 563	75 691	75	230 329
Period ended 31 December 2011				
Opening net book amount	154 563	75 691	75	230 329
Exchange differences	-	1 000	-	1 000
Additions	-	239 733	-	239 733
Expensed exploration/acquisition costs	-	-25 498	-	-25 498
Depreciation and amortisation charge	-	-	-75	-75
Impairment charge	-51 563	-	-	-51 563
Closing net book amount	103 000	290 925	-	393 925
31 December 2011				
Cost	154 563	290 925	4 386	449 874
Accumulated depreciation and amortisation	-	-	-4 386	-4 386
Accumulated impairment charges	-51 563	-	-	-51 563
Net book amount	103 000	290 925	-	393 925

¹⁾ See note 24 for information on disposals

CAPITALISED EXPLORATION/ACQUISITION COSTS – IMPAIRMENT TESTING

There are no material changes in the resource estimates and costs estimates. Further there are no negative changes to market conditions related to the value of the exploration/acquisition costs of the Gulf of Mexico portfolio, which suggest that the carrying amount of the assets exceed the recoverable amount. The booked capitalised amount also represents the Norvarg discovery which has found resources.

Classification of those resources as proved, depends on whether major capital expenditure can be justified or where the economic viability of that major capital expenditure depends on the successful completion of further exploration work, will remain capitalised during the evaluation phase for the exploratory finds. Thereafter it will be considered a trigger for impairment evaluation of the discovery if no development decision is planned for the near future, and there are no concrete plans for future drilling in the licence.

GOODWILL – IMPAIRMENT TESTING FOR CASH FLOW GENERATING UNITS THAT INCLUDE GOODWILL

Figures in NOK 1000

	2012	2011
The following units have material carrying amounts of goodwill		
EM-technology - through the subsidiary Rocksource Geotech AS	10 000	103 000
Total	10 000	103 000

In accordance with IAS 36 in the International Financial Reporting Standards (IFRS), the Group performed an impairment test of goodwill as of 30 September 2012. The impairment test was triggered by the following indicators: Services from Rocksource Geotech AS are sold based on chargeable hours, since the organisation had been reduced to four EM geophysicists, the earnings potential in the short to medium term was considered limited. Additionally, the market capitalisation of Rocksource ASA was significantly less than the book value of the equity, a situation which had lasted for some time.

The impairment test at 30 September indicated that the value in use was lower than the goodwill included in the statement of Financial Position. Based on the impairment calculation, the goodwill was valued at NOK 10.0 million. As a result the goodwill related to EM technology (through the subsidiary Rocksource Geotech AS) was written down by NOK 93.0 million in the accounts for third quarter 2012.

As part of the year-end process a new impairment test was done as of 31 December. This test indicated that the value in use was above the book value of the revised goodwill. Hence, the total write-down of the goodwill for 2012 was NOK 93.0 million. In 2011 the goodwill was written down with NOK 51.6 million.

EM technology is still relatively immature in an E&P setting, but there is a growing acceptance that correct application of EM data can improve success rates and EM as an exploration tool is continuously being adapted by the industry. Rocksource still believes that EM technology is a competitive advantage for Rocksource, particularly when integrated with advanced seismic techniques. And the Company plans to continue to make use of the technology going forward.

Value in use calculation

The recoverable amount of the cash flow generation unit (CGU) whereby goodwill is allocated is determined based on a value in use calculation using cash flow estimates for a period covering five years. The calculation reflects management's expected activity set and budgets for the period. Cash flow

beyond the five-year period is extrapolated from the management budgets using a 1.9 per cent growth rate (2011: 1.9 per cent), which is considered to be conservative given the expected increase in the use of EM in exploration activities.

Key assumptions used in value in use calculations

When testing goodwill for impairment, the Group estimates the present value of exploration activities which comprises the benefits from using the Groups' EM technology. The calculation is most sensitive to the following assumptions:

- Chance of success with the technology
- Discount rates
- Expected prospect size and equity share
- Value per barrel

Chance of exploration success with the technology

The core of the technology is to explore in a more efficient manner. The aim is to achieve higher success rates compared to using conventional exploration tools when drilling exploration prospects. The basis for this approach, and used in the calculations, is that the chance of success increases with 5 per cent points (5 per cent points in 2011) for an EM positive prospect compared to a prospect without any EM analysis.

Discount rates

The overall discount rate has been estimated based on the weighted average cost of capital for the assessed expected future cash flows. The 9 per cent discount rate reflects the distribution of debt and equity, where the discount rate of the equity element is considerable higher than the debt.

Expected prospect size and equity share

Estimated prospect size used in the calculations is 50 million barrels oil equivalents. The Group uses EM within its exploration strategy to identify higher impact prospects. This means that the average prospect size used in calculations might be higher than industry average in the core areas where the Group operates, but reflects considerable reduction compared to the Group's prospect inventory and focus

on relinquishing non-commercial prospects. Further, a 20 per cent equity share has been assumed with a 30 per cent paying interest. The value of a discovery is closely linked to the assumed prospect size. The implied value of the goodwill is therefore closely correlated with the expected prospect size of a discovery.

Value per barrel

The value per barrel in ground is used to calculate a monetary value of the resources using the technology. The price per barrel is calculated before tax and reflects estimated future prices, which are based on prices observed in the marketplace. The value of a discovery is directly linked to the assumed price that can be achieved when trading such an asset. The implied value of the CGUs to which goodwill is allocated is therefore closely correlated with the value per barrel. USD 5.0 has been used as a pre-tax value per barrel, which is a value well within observed ranges used by analysts who evaluate oil and gas companies in Norway.

– Sensitivity to changes in assumptions

The test shows that in the scenarios the recoverable amounts will exceed the booked value as of 31 December. As a result of the disappointing drilling campaign in 2011, the Company has closely assessed all the input factors used in the impairment test. The assessments are most sensitive to the increased chance of success when using the technology, and the Company has decided to reflect the increased uncertainty by reducing the expected uplift on chance of success that the EM technology can provide compared to conventional exploration tools. Consequently the management believes that any reasonable possible further change in the key assumptions on which recoverable amount is based would not cause the cash generating units' carrying amount to exceed its recoverable amount.

– Uncertainty of estimates

The calculations recognised in the financial statements are mainly based on calculations/estimates, and new information may change this. The longer term hydrocarbon pricing and industry specific growth is supported by the assumed energy consumption growth of 3 per cent, as stated in BP's Energy Outlook 2030. The pre-tax discount rate used is 14 per cent (2011: 19 per cent) for equity and 5 per cent (2011: 7 per cent) for debt, giving an overall pre-tax discount rate of 9 per cent (2011: 13 per cent).

NOTE 9 ACCOUNTS RECEIVABLE AND OTHER RECEIVABLES

Figures in NOK 1000

	2012	2011
Accounts receivable	713	13 242
Other receivables	8 041	10 170
Total	8 754	23 412

Accounts receivable in the financial statements are assumed to be collectible, and no provision for bad debt is considered necessary. The Group has no historic losses on customers.

Accounts receivable are not interest-bearing and made on standard business terms.

Other receivables mainly consist of invoices to licence partnerships where Rocksource Exploration Norway AS is an operator for expenses paid on behalf of the licencees. It also consists of prepayments and VAT receivables.

The Group's accounts receivable are comprised exclusively of items that are due for payment within one year. The ageing analysis of accounts receivable is as follows:

Figures in NOK 1000	Denominated in NOK	Denominated in USD, translated to NOK	Total
2012			
Not past due	250	–	250
Past due < 30 days	458	–	458
Past due < 90 days	5	–	5
Total	713	–	713
2011			
Not past due	12 998	78	13 076
Past due < 30 days	–	166	166
Past due < 90 days	–	–	–
Total	12 998	244	13 242

NOTE 10 CASH AND CASH EQUIVALENTS

Figures in NOK 1000	2012	2011
Bank deposit, non-restricted	80 139	174 033
Bank deposit, restricted guarantee (NCS credit facility)	–	66 000
Bank deposit, restricted	8 661	7 136
Total	88 800	247 169

Included in item "Bank deposit, restricted" at 31 December 2012 are funds deposited in an interest reserve account that will exclusively be used to pay interest expenses, related to the exploration credit facility with SEB, in addition to a cash deposit to guarantee a letter of credit related to operatorship status in the Gulf of Mexico and employees' tax deduction. The restricted amount at 31 December 2012 is NOK 8.7 million (NOK 7.1 million 31 December 2011).

Bank deposits are subject to a floating interest, and the depository interest rate will therefore fluctuate during the year. The cash equivalents are equal to their nominal value. In 2011 the item "Bank deposit, restricted guarantee" of NOK 66 million was a bank deposit guarantee to SEB Merchant Banking (SEB) related to the tax refund from Oil Taxation Office. Please see note 6 regarding income tax and the ruling in the Oil Taxation Board for more information.

Cash and cash equivalents are denominated in NOK, GBP and USD. The carrying amounts of cash and cash equivalents are denominated as follows at year-end:

Figures in 1000	2012		2011	
	Foreign currency	NOK	Foreign currency	NOK
USD	450	2 505	4 032	24 160
GBP	49	441	442	4 102
NOK	–	85 854	–	218 907
Total		88 800		247 169

NOTE 11 ISSUED CAPITAL

Figures in 1000	2012		2011	
	No. of shares	NOK	No. of shares	NOK
Issued on 1 January	87 056	87 056	65 653	65 653
Issued for cash on exercise of share options	-	-	53	53
Issued for cash	-	-	21 349	21 349
Total number of shares	87 056	87 056	87 056	87 056

The Parent Company has one class of shares with a nominal value of NOK 0.10. All shares are fully paid in. Each share represents one vote at the Company's General Meeting. The shares outstanding and earnings per share have been adjusted retrospectively for the 4 to 1 reverse split (see below).

DIVIDENDS

At year-end 2012, no dividend was proposed for any of the Group companies for 2012.

MERGING OF SHARES AND DECREASE OF THE SHARE CAPITAL

The Company's shares were merged (reverse split) in the ratio 4 to 1 on 21 June 2012. The nominal value of a share in Rocksource ASA increased from NOK 1.00 to NOK 4.00, and the number of shares was reduced from 348,222,000 to 87,055,500.

At the Company's Annual General Meeting on 14 June 2012 it was resolved to (i) reduce the share capital of the Company by NOK 339,516,450 through a reduction in the nominal value of the shares of the Company from NOK 4.00 to NOK 0.10 by transfer to additional paid-in capital, and (ii) reduce the share premium reserves by NOK 135,517,333 by transfer to additional paid-in capital. Following the expiry of the statutory creditor notice period, the reductions in the share capital and the share premium reserves were registered as of 17 December by the Norwegian Register of Business Enterprises. The Company's new share capital is NOK 8,705,550 divided into 87,055,500 shares each with a nominal value of NOK 0.10.

AUTHORISATION OF THE BOARD OF DIRECTORS

The authorisation to issue shares under the Company's incentive scheme, latest given to the Board at the Annual General Meeting of 13 May 2011, is continued. The maximum number of options that may be awarded until the Annual General Meeting 2013 is five million options (as adjusted). As a consequence of the above resolution, the Annual General Meeting also authorised the Board of Directors to resolve on several share capital increases by issuing up to 13.5 million shares, and consequently increasing the share capital by up to NOK 13.5 million (figures before the reverse split), for further information see note 21 – Remunerations, and note 2 – Remuneration, salaries, options and pensions in the financial statements for the Parent Company.

TREASURY SHARES

The Parent Company has 6,250 (as adjusted) treasury shares with a nominal value of NOK 625. The purchase cost for the treasury shares was NOK 117 000. There has been no sale of treasury shares in 2012.

NOTE 12 EARNINGS PER SHARE

BASIC EARNINGS PER SHARE

Basic earnings per share at 31 December 2012 are based on the net result for the year attributable to ordinary equity holders of the Parent Company amounting to a loss of NOK 201.7 million (2011: loss of NOK 178.3 million) and the dilution

adjusted weighted average number of outstanding ordinary shares through 2012 of 87,049,568 (2011: 84,253,854). Earnings per share are retrospectively adjusted for the reverse split, see note 11.

Weighted no. of shares in 1000	2012	2011
Issued as of 1 January	87 055	65 653
Effect of shares issued on 1 February 2011	-	5 999
Effect of shares issued on 22 February 2011	-	31
Effect of shares issued on 23 February 2011	-	12 165
Effect of shares issued on 22 March 2011	-	401
Effect of shares issued on 23 May 2011	-	10
Effect of shares issued, related to reversed split	0	-
Effect of treasury shares	-6	-6
Weighted average number of ordinary shares	87 050	84 254
Effect of dilution:		
Options	-	-
Weighted average number of ordinary shares adjusted for the effect of dilution	87 050	84 254
Net profit/(loss) attributable to ordinary equity holders of the Parent	-201 711	-178 320
Basic earnings per share	-2.317	-2.116
Diluted earnings per share	-2.317	-2.116

Diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares. Rocksource has only one category of dilutive potential ordinary shares: share options. Diluted earnings per share were a loss of NOK 2.317 in 2012 (loss of NOK 2.116 in 2011). Diluted earnings per share were the same as basic earnings per share in 2012, as the effect was antidilutive.

EARNINGS PER SHARE FOR THE DISCONTINUED OPERATIONS

To calculate earnings per share amounts for the discontinued operation, the weighted average number of ordinary shares for both basic and diluted amounts are as calculated in the table above. The following table provides the profit/(loss) amount used for calculation of the earnings per share for the discontinued operation:

Weighted no. of shares in 1000	2012	2011
Earnings per share		
Weighted average number of ordinary shares adjusted for the effect of dilution	87 050	84 254
Net profit/(loss) attributable to ordinary equity holders of the Parent from discontinued operations for basic and diluted earnings per share calculations	-	-676
Basic earnings per share for discontinued operations	-	-0.008
Diluted earnings per share for discontinued operations	-	-0.008

NOTE 13 GROUP COMPANIES

IFRS 2012

Figures in NOK 1000	Classification	Head office	Owner-ship	Voting rights	Profit/loss	Equity
Rocksource Geotech AS	Subsidiary	Bergen, Norway	100 %	100 %	-56 079	15 995
Rocksource AGC (Profond) AS (in liquidation)	Subsidiary	Bergen, Norway	100 %	100 %	-3 473	10 034
Rocksource Gulf of Mexico AS	Subsidiary	Bergen, Norway	100 %	100 %	-537	671
Rocksource UK Ltd	Subsidiary	London, UK	100 %	100 %	-1 867	-56 695
Rocksource Energy Corporation	Subsidiary	Houston, USA	100 %	100 %	-38	439
Rocksource Gulf of Mexico Corporation 1)	Subsidiary	Houston, USA	100 %	100 %	-27 881	-127 615
Geotech US Corporation 2)	Subsidiary	Delaware, USA	100 %	100 %	-	30 538
Rocksource Exploration Norway AS	Subsidiary	Bergen, Norway	100 %	100 %	-10	100
Rocksource ANS (in liquidation)	Subsidiary	Bergen, Norway	100 %	100 %	-13	-21

1) Rocksource Gulf of Mexico Corporation is indirectly owned through Rocksource Gulf of Mexico AS.

2) Geotech US Corporation is indirectly owned through Rocksource Geotech AS.

NOTE 14 INVESTMENT IN ASSOCIATES

The Group's ownership in Technolmaging LLC (TI) was 46.4 per cent as of year-end 2012. In 2012 the Group has written off the full value of the investment in TI.

Figures in NOK 1000	Country	Ownership interest	Carrying amount 31.12.2011	Acquisition 2012	Net profit/(loss) 2012	Amortisation and impairment of excess values 2012	Exchange differences	Carrying amount 31.12.2012
Technolmaging LLC	USA	46.4%	27 174	-	-2 583	-23 566	1 026	-

The carrying amount of the investment in TI is NOK 0 million. The management decided to write off the full value of the investment in the third quarter of 2012 due to disappointing

financial development and operational challenges. Share of loss in TI included loss, amortisation and a full impairment of the investment of NOK 19.4 million.

NOTE 15 CURRENT LIABILITIES

Figures in NOK 1000	2012	2011
Accounts payable and other payables	64 060	16 102
Other current liabilities	2 827	6 583
Total	66 887	22 685

Accounts payable are mainly non-interest bearing and are normally settled in 30 to 60 days.

Accounts payable in 2012 of NOK 38.3 million are related to purchase of multi-client seismic and EM data, and matures in December 2013.

NOTE 16 COMMITMENTS

OPERATING LEASE COMMITMENTS

Rocksource entered into a rig share agreement by participating in a consortium of operators in March 2008. In August 2008, the consortium entered into a contract for the semi-submersible drilling rig "Borgland Dolphin" for operations on the NCS. The estimated contract value between Dolphin AS, a subsidiary of Fred Olsen Energy ASA, and the consortium is approximately USD 775 million covering a period of 4 years. The contract period has a total of 92 days where 46 days will be utilised in 2013. Rocksource used 46 days of the slot in 2011. Rocksource's share of the rig lease cost of 2013 is estimated to be around USD 49 million (USD 24,5 million for the rig commitment and USD 24,5 million covering operating crew and other expenses). The cost of the rig will be subject to the Norwegian petroleum tax regime, where 78 per cent of the exploration costs are refunded by the Norwegian

authorities. This means net after tax cost of the rig contract is USD 11 million. The rig will be used to drill the Storbarden prospect in licence PL 506s where Rocksource Exploration Norway AS is the operator. The cost will be shared with licence partners. Rocksource has not issued any guarantees on behalf of other participants in the consortium.

The operating lease commitments are presented before carry of cost and other financing instruments.

The Group has several operating leases for office premises with lease periods of 1 - 4 years with options for renewal. The lease is index-regulated annually. In 2012, NOK 5.3 million was recorded as operating lease expenses in the income statement. The operating lease contracts consist mainly of fixed payments.

Future minimum rentals payable under non-cancellable operating leases as at 31 December are as follows:

Figures in NOK 1000	2012	2011
Within one year	5 079	4 538
After one year, but less than five years	3 676	4 981
More than five years	-	-
Total	8 755	9 519

The Group has the following lease commitments as of year-end, mostly through ownership interests in its own and partner-operated oil and gas licences:

Figures in NOK 1000	2012	2011
Expected licence commitments		
Within one year	173 087	86 247
After one year, but less than five years	-	-
More than five years	-	-
Total expected licence commitments (pre tax)	173 087	86 247

There is a high degree of uncertainty related to the commitments and these are indicative numbers. There are no firm licence commitments after 2013.

NOTE 17 CONTINGENT COMMITMENTS, AGREEMENTS AND CONTINGENCIES

BLOCK CY-DWN-2001/1 OFFSHORE INDIA

In India, ONGC continues to consider its position relative to Rocksource's role and responsibilities related to the CY-DWN-2001 exploration block located in the Cauvery Basin. As previously communicated, none of the three exploration wells drilled on the block were at locations recommended by Rocksource utilising the Company's EM technology, nor did the Company consent to or support any of them. Rocksource has not signed the Production Sharing Contract (PSC) and has therefore never formally become a partner in the block. ONGC relinquished the PSC in 2011.

The Company continues to seek commercial solutions with the operator ONGC, with the aim to find a mutually acceptable way forward and to avoid arbitration. However, the Company's firm view remains that unless there is a successful outcome from these discussions Rocksource is not liable for any costs on the block. The cost claimed by ONGC for Rocksource's share of the completed work programme is approximately USD 20 million.

In the event that ONGC decides to take the dispute to arbitration, Rocksource's legal advice is that it will be at least three years before any ruling could be enforceable against Rocksource in Norway.

NORWEGIAN CONTINENTAL SHELF (NCS) ASSET TRANSACTION WITH VALIANT PETROLEUM (VALIANT)

On 19 March 2012 Rocksource announced a strategic asset transaction with Valiant. The transaction was formally completed following government approval on 23 May 2012. The financial effects are recorded in the second quarter 2012.

The asset transaction with Valiant includes the sale of 13 per cent interest in the Norvarg discovery and an average reduction of approximately 50 per cent in the Company's equity stakes in a further 12 exploration licences. As consideration Valiant has paid NOK 60 million in cash and will provide NOK 200 million to pay for Rocksource's share of future exploration expenses in the licences that Valiant has farmed into (carry-fund). Licence approved exploration expenses under this carry-fund includes all exploration and appraisal wells, seismic or EM surveys, and study costs that the partnerships each joint venture agrees to carry out. There has been a drawdown of NOK 36.6 million in 2012 from the carry-fund, and the remaining available balance at year-end 2012 is NOK 163.4 million. See further information about the farm-down agreement with Valiant in note 24.

CORPORATE REORGANISATION COMPLETED 31 DECEMBER 2012

In October 2012 Rocksource announced the decision to reorganise the corporate structure of the Rocksource Group. Rocksource ASA would transfer all its activities on the NCS including licences, all related assets, contracts and personnel into the entity Rocksource Exploration Norway AS, a fully owned subsidiary of Rocksource ASA. The aim of the reorganisation was to create a group structure more aligned with its operations and the areas in which it operates. The new structure provides added flexibility and will assist the Company as it endeavors to deliver further growth. The reorganisation was completed as planned at year-end 2012.

CONTINGENT LICENCE COMMITMENTS

As a partner in offshore licences on the Norwegian and UK continental shelves, Rocksource has contingent commitments related to its equity share in each licence, if the majority in the partnership decides to progress beyond the firm licence budget included in note 16 – Commitments.

LIABILITY FOR DAMAGES/INSURANCE

The Group's operations involve risks for damages, including pollution. Installations and operations are covered by an operations insurance policy.

LICENCES ABROAD

In some of the licences the Group is a part of, there are agreements with royalties from first production. Terms and conditions in these agreements are in line with common practice in the oil and gas business.

NOTE 18 INTEREST-BEARING LOANS

SENIOR SECURED BOND LOAN OF NOK 200 MILLION – REPAID 30 MAY 2012

In May 2007 the Group issued a Senior Secured Bond Loan of NOK 200 million through a private placement directed towards Norwegian and international investors. The loan carried a coupon of 3 months NIBOR + 500 basis points payable quarterly in arrears and matured on 4 May 2012. The effective interest rate in 2012 was 7.86 per cent. On 4 May 2012 the Company deferred the repayment of the NOK 88.5 million outstanding part of the bond loan to 30 May 2012. For this extension the Company paid NOK 0.8 million. The Company repaid the bond loan on 30 May and following this repayment the Rocksource Group no longer has any external debt except for the exploration credit facility described below.

EXPLORATION CREDIT FACILITY NOK 700 MILLION

Rocksource signed a NOK 700 million exploration credit facility with SEB Merchant Banking in 2011. Conditions agreed upon are an interest rate of 3 month NIBOR + 190 basis points and an availability fee of the undrawn amount. The total draw down on the facility going into 2012 was NOK 555 million, which was ultimately repaid in December 2012 when the tax refund including interest from the Oil Taxation Office of NOK 573.6 million was received. Total draw down in 2012 was NOK 121.5 million, and no further draw downs can be made on the NOK 700 million facility. Estimated fair value of the credit loan as of year-end 2012 was NOK 120.2 million and is booked as current liabilities in the financial statements. The difference between fair value and total draw down is due to the amortisation effect.

Rocksource has for 2013 signed a new credit facility with SEB Merchant Banking of NOK 150.0 million. This is fully available to finance NCS exploration expenses in 2013.

NOTE 19 FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

The Group's activities expose the Group to the following financial risks as defined by IFRS 7:

- **Credit risk**
- **Liquidity risk**
- **Market risk**
 - including currency risk and interest rate risk

In order to reduce and control these risks, management periodically examines and evaluates the Group's most important financial market risks. The Group is primarily exposed to risk in connection with fluctuations in exchange rates and interest rates. Following the disposal of the Group's producing assets, Rocksource is to a lesser extent affected by fluctuations in oil and gas prices. The Group is currently assessed to have moderate exposure to financial market risks.

CREDIT RISK

The Group credit risk arises from credit exposures with customer accounts receivable and deposits with financial institutions. The Group has policies in place to ensure that sales are only made to customers with an appropriate credit history and by limiting the outstanding credit given to licence partners and customers to fourteen days. The credit risk is considered to be moderate, after a concentration of credit risk following the transaction with Valiant. Any provision for bad debt is not considered necessary for 2012, unchanged from 2011, and there have been no realised losses in accounts receivable in the last two years. See note 9 – Accounts receivable and other receivables for an ageing analysis. The deposits are with major banks and the credit risk linked to these institutions is limited. The Group's overall credit risk is considered to be minor. The maximum risk exposure is represented by the carrying amount of the financial assets in the statement of financial position, and amounts to NOK 336.1 million.

LIQUIDITY RISK

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying business, the Group aims to maintain flexibility in funding by keeping both committed and uncommitted credit lines available. At year-end 2012 the unused part of the Valiant carry-fund amounts to NOK 163.4 million, which will be a key source of financing exploration cost on the NCS in 2013. In addition a NOK 150 million exploration credit facility from SEB will provide bridge financing of the remaining part of the NCS exploration cost until tax refund is received in December 2014. The refund of NOK 96.0 million in deferred taxes following the restructuring of the NCS activities in 2012 is expected in December 2013. The refund will be a major liquidity event in 2013 and will be an important source of financing of operations in 2014. To minimise the liquidity impact until the refund, a major part of the accounts payable as of year-end 2012 will not fall due until the tax refund is received in December 2013. See note 18 for further information regarding financial flexibility.

Figures in NOK 1000

	Carrying amount	Contractual cash flows	1-6 months	6-12 months	1-2 years	3-5 years	> 5 years
31 December 2012							
NCS credit facility	120 240	-127 775	-3 137	-124 637	-	-	-
Other current liabilities	2 827	-2 827	-2 827	-	-	-	-
Accounts payable and other payables	64 060	-64 832	-21 526	-43 306	-	-	-
Total	187 127	-195 434	-27 491	-167 943	-	-	-
31 December 2011							
Bond loan	128 982	-135 488	-135 488	-	-	-	-
NCS credit facility	551 721	-579 230	-13 487	-565 744	-	-	-
Other current liabilities	6 583	-6 583	-6 583	-	-	-	-
Accounts payable and other payables	16 102	-16 102	-16 102	-	-	-	-
Total	703 388	-737 404	-171 660	-565 744	-	-	-

MARKET RISK

The Group operates globally and is exposed to market risks including foreign currency rates, interest and equity prices that can affect the Group's revenue and costs of operating, investing and financing. The Group has no derivative contracts as of year-end 2012.

Currency risk

The Group is exposed to some currency risk through its US and UK subsidiaries, but this exposure is considered to be moderate since the companies have a moderate activity level and limited commitments. The Group no longer has cash flow from oil and gas sales in US, following a sale of the producing fields in June 2011. Several of the Group's agreements are entered into in foreign currencies, primarily USD and GBP. The Group has some investments in overseas subsidiaries where net assets are exposed to exchange risk. The Group has made no agreements to reduce the exposure to currency risk. This means that the Group's currency management is primarily focused on the USD/NOK fluctuations and to ensure that the amount of USD is sufficient when major

expenses denominated in USD are due and to be able to finance the overseas subsidiaries. The effect of any realised or unrealised currency changes are booked through the income statement. The Group's cash and cash equivalents are in NOK, USD and GBP.

The following table demonstrates the sensitivity of the financial instruments, to a reasonable, possible change in the USD and GBP exchange rate, with all other variables held constant, of the Group's result before tax.

Based on recent fluctuations of the NOK against GBP and USD, the analysis is performed with an assumption of a 10 per cent increase/(decrease) in the currency for 2012.

2012	Increase/decrease in USD rate	Effect on earnings (TNOK)
USD	+ 10 %	180
GBP	+ 10 %	32
USD	- 10 %	-180
GBP	- 10 %	-32

Interest rate risk

The Group is exposed to interest rate risk related to the NCS exploration credit facility, with floating interest rate. The credit facility of NOK 700 million carries a 3 months NIBOR + a 190 basis points interest pro annum. See note 18 for more information. Because of the available loan facility to the Group, interest rate changes will influence the Group's future results. The Group continuously assesses the change in risk and the earnings profile of the liquid assets.

The following table demonstrates the sensitivity to a reasonable possible change in interest rates, all other variables held constant, of the Group's result before tax.

The analysis is performed with an assumption of an increase/(decrease) of 100 basis points for 2012.

Figures in NOK 1000	Increase in basis points	Effect on earnings	Decrease in basis points	Effect on earnings
Cash and cash equivalents	+ 100	639	- 100	-639
NCS credit facility	+ 100	-866	- 100	866

POLITICAL RISK

Changes in the legislative and fiscal framework governing the activities of the companies engaged within the oil and gas sector may have a material impact on exploration and development activity or directly affect the Company's operations. In particular, changes in political regimes will constitute a material risk factor for the Company's operations. Although exposure is currently limited to Norway, UK, US, India, West Africa and Gulf of Mexico, future international business development opportunities might increase political risk for the Company. In order to conduct its operations in compliance with applicable laws and regulations, the Group will obtain licences and permits from various government authorities. The Group may incur substantial costs in order to maintain compliance with these existing laws and regulations and additional costs if these laws are revised or if new laws affecting the Group's operations are passed. Furthermore, there can be no assurance that the Group will be able to obtain all necessary licences and permits that may be required to carry out exploration, development and production operations on its properties.

CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholders value. The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. In order to maintain or change the capital structure, the Group may adjust the amount of dividend payments to shareholders, return capital to shareholders or issue new shares. Due to existing covenants in loan agreements, Rocksource ASA cannot pay dividend or purchase own shares. The current capital base will together with the available Valiant carry-fund and exploration credit facility from SEB finance the Groups committed activities into 2014. As new commitments are taken on, additional financing sources will have to be addressed to secure sufficient capital coverage. Alternative sources are additional equity, sale of assets and debt capital.

The Group is continuously evaluating the capital structure with the aim of having an optimal mix of equity and debt capital to reduce the Group's cost of capital. The bank loan facility related to exploration on the Norwegian Continental Shelf (NCS) represent the Group's loan financing.

The book equity ratio is calculated as total equity divided by total assets as follows:

Figures in NOK 1000

	2012	2011
Total equity	212 478	408 210
Total assets	465 623	1 259 320
Equity ratio	45.6 %	32.4 %
Interest-bearing debt and loans	120 240	680 704
Accounts and other payables	64 060	16 102
Other current liabilities	2 827	6 583
Less cash	-88 800	-247 169
Net debt	98 327	456 220
Majority's equity	212 478	408 210
Sum equity and net debt	310 805	864 430
Debt ratio	31.6 %	52.8 %

FINANCIAL ASSETS AND LIABILITIES

Set out below is a comparison by category for carrying amounts and fair value of all of the Group's financial instruments that are carried in the financial statement. The carrying amount of cash and cash equivalents is approximately equal to fair value since these instruments have a short term to maturity. Similarly, the carrying amount of accounts receivable and accounts payable is approximately equal to fair value since they are entered into on "normal" terms and conditions.

	2012		2011	
Figures in NOK 1000	Carrying amount	Fair value	Carrying amount	Fair value
Financial assets				
Cash and cash equivalents	88 800	88 800	247 169	247 169
Loans and other receivables at amortised cost	247 342	247 342	587 406	587 406
Total	336 142	336 142	834 575	834 575
Financial liabilities				
Financial liabilities at amortised cost	66 887	66 887	22 685	22 685
Bond loan	-	-	128 982	125 113
NCS credit facility	120 240	120 240	551 721	551 721
Total	187 127	187 127	703 388	699 519

DIVIDENDS PAID OR PROPOSED

No dividend has been proposed for 2012 or paid out during the year. See "Capital management" for information on dividend restrictions.

NOTE 20 RELATED PARTIES

IDENTIFICATION OF RELATED PARTIES

The related parties of the Group are comprised of subsidiaries, see note 13 - Group companies. Other related parties are defined by the Group's ability, directly or indirectly, to control the other party or exercise significant influence over the other party in the decision making process. Furthermore, parties under common control or common significant influence are defined as related parties. All transactions between the related parties are based on the principle of "arm's length" (estimated market value).

OTHER RELATED PARTIES

See note 14 for information regarding investment in associates.

SHARES IN ROCKSOURCE ASA OWNED BY BOARD MEMBERS AS OF 31 DECEMBER 2012

Figures in 1000	Position	Number of shares	Number of options
Henrik A. Christensen	Chairman of the Board	-	-
Marianne E. Johnsen	Board member	300	-
Ole Wiborg	Board member	-	-
Susan Graham	Board member	-	-
Nick Johnson	Board member	-	-
Helge Ringdal	Board member	1 278	-
Eva von Hirsch	Board member	-	-

INTERCOMPANY INVOICING

In 2012 all G&G and administrative employees were employed in Rocksource ASA and Rocksource Energy Corporation. Rocksource Geotech AS is the technology division. As all the expertise in the Group delivering intercompany services are employed in Rocksource ASA, Rocksource Geotech AS and Rocksource Energy Corporation, there is considerable intercompany invoicing in the Group based on

time spent as well as the use of the technology developed in Rocksource Geotech AS. The intercompany charges are based on intercompany agreements and all hourly rates and technology charges are based on the "arm's length" principle and reflect market values of services delivered. Rocksource ASA finances a considerable part of the Gulf of Mexico operations through intercompany loans. All internal transactions are eliminated at Group level.

Figures in NOK 1000	to Rocksource UK Ltd	to Rocksource Energy Corporation	to Rocksource Geotech AS	to Rocksource ASA	to Rocksource Gulf of Mexico Corporation	to Rocksource AGC Profond AS
From Rocksource ASA	531	54	2 644	-	2 886	611
From Rocksource Geotech AS	-	-	-	12 050	1 811	1 048
From Rocksource Energy Corporation	-	-	-	-	4 546	-
Total intercompany	531	54	2 644	12 050	9 243	1 659

All transactions between the related parties are based on the "arm's length" principle (estimated market value). There are no loan agreements between the Group and the Board of Directors/Management. There are no share-based remuneration, bonus or severance payments to the Board of Directors. Remuneration to key employees is described in note 21.

NOTE 21 REMUNERATIONS

Figures in NOK 1000		Position	Salary	Bonus	Employee benefits	Pension	Value options exercised	Options awarded in 2012	Expensed option costs
Key management compensation in 2012									
Chris Spencer 1)		CEO	2 162	-	72	60	-	-	501
Tommy Sundt 2)		CFO	1 856	-	188	58	-	-	479
Per Anders Muri 3)		VP Corporate Communication	1 620	-	13	58	-	-	376
Morten Haukebo		VPHSSE&Q	1 508	-	14	58	-	-	29
Rolf Monsen 4)		CTO (from 1 May 2012)	1 624	-	13	58	-	-	15
Annelin N. Haaland 5)		Exploration Manager NCS (from 1 Oct. 2012)	1 277	-	15	60	-	-	14
Gregor Maxwell 6)		COO (until 30 September 2012)	1 892	-	21	58	-	-	-2 081

The amounts represent total compensation for full year 2012.

1) Mr. Spencer took on the position as permanent CEO from 1 June 2012. He controls 75,000 shares as of 31 December 2012.

2) Mr. Sundt is entitled to a company car. Through Tomsun Invest AS Mr. Sundt controls 271,297 shares as of 31 December 2012.

3) Mr. Muri controls 8,750 shares as of 31 December 2012.

4) Mr. Monsen controls 75,000 shares as of 31 December 2012.

5) Mrs. Haaland controls 9,750 shares as of 31 December 2012.

6) Mr. Maxwell resigned 30 September 2012 and remained with the Company until 31 December 2012.

7) Accrued bonus for key management was NOK 2.3 million in 2012, and NOK 0 million in 2011.

Figures in NOK 1000		Position	Salary	Bonus	Employee benefits	Pension	Value options exercised	Options awarded in 2011	Expensed option costs
Key management compensation in 2011									
Trygve Pedersen 1)		CEO (until 01.12.11)	2 493	571	207	55	-	283	-
Tommy Sundt 2)		CFO	1 645	374	175	58	-	250	-
John Howell 3)		CTO (until 01.12.11)	1 534	337	11	52	-	-	-
Gregor Maxwell 4)		COO	1 715	374	21	58	-	256	-
Arild Thorsrud 5)		VP Drilling (until 01.12.11)	1 634	324	15	58	-	192	-
Chris Spencer 6)		VP Commercial and Eng./Acting CEO from 01.12.11	1 548	244	13	58	-	244	-
Per Anders Muri 7)		VP Corporate Communication	1 330	242	13	58	-	181	-
Morten Haukebo 8)		VPHSSE&Q	1 099	225	13	58	-	-	-

The amounts represent total compensation for full year 2011.

1) Mr. Pedersen resigned 30 November 2011 and remained in the Company until 1 February 2012. He had a company car.

2) Mr. Sundt is entitled to a company car. As of 31 December 2011, Mr. Sundt controls 1,085,189 shares through Tomsun Invest AS.

3) John Howell is not a part of the key management from 1 December 2011. He controls 5,250,130 shares through Balanced Rock AS as of 31 December 2011.

4) Gregor Maxwell controls 364,045 shares as of 31 December 2011.

5) Arild Thorsrud is from 1 December 2011 outsourced to a separate project and not a part of the key management.

Mr. Thorsrud controls 86,517 shares as of 31 December 2011.

6) Chris Spencer took on the position as acting CEO from 1 December 2011. He controls 215,000 shares as of 31 December 2011.

7) Per Anders Muri controls 35,000 shares as of 31 December 2011.

8) Morten Haukebo is a part of the key management as of 1 December 2011.

TERMINATION PAY

Mr. Maxwell (previous COO) was entitled to a salary payment of 6 months in the event whereby Rocksource ASA chose to terminate his contract. On 30 September 2012, Mr. Maxwell resigned from the Company, but remained in the Company until 31 December 2012. The parties agreed that Rocksource had no further commitment to Mr. Maxwell after 31 December 2012. Mr. Pedersen (previous CEO) was entitled to a salary payment of 12 months in the event whereby Rocksource ASA chose to terminate the contract. On 30 November 2011, Mr. Pedersen resigned from the Company, but remained in the Company until 31 January 2012. The parties agreed that Rocksource had no further commitment to Mr. Pedersen after 1 February 2012.

The key management team is entitled to a pay equal to between 6 and 9 month's base salary as severance pay from the termination of employment if the Company is subject to or enters into a merger or an acquisition, and the employee is made redundant or if such merger or acquisition significantly changes the job content and the employee decides to resign.

PENSION BENEFITS

Key management is covered by the same defined contribution plan as the rest of the employees in Norway, see note 4. Pension cost to key management is included in the tables above under Pension.

SHARE-BASED REMUNERATION TO KEY MANAGEMENT AS OF YEAR-END

Figures in 1000	Program	Date awarded	Total options	Strike price (NOK)	Share price on date awarded	Vesting period	Options vested	Expiration date	Options exercised
Key management compensation in 2012									
Chris Spencer	Stay-on	4.1.11	275	20.00	12.20	31.12.12	275	31.12.13	-
Tommy Sundt	Stay-on	4.1.11	325	20.00	12.20	31.12.12	325	31.12.13	-
Per Anders Muri	Stay-on	4.1.11	213	20.00	12.20	31.12.12	213	31.12.13	-
Morten Haukebø	Stay-on	4.1.11	19	13.60	13.96	31.12.12	19	1.5.13	-
Rolf Monsen	-	-	-	-	-	-	-	-	-
Annelin N. Haaland	-	-	-	-	-	-	-	-	-
Total			832				832		

In 2012 a total of 820,000 management options were lost due to termination of employment. As of year-end a total of 1,162,500 options were vested, all with an exercise price of NOK 20 per share following the reverse split in the ratio of four to one approved by the Annual General Meeting in June 2012.

Figures in 1000	Program	Date awarded	Total options	Strike price (NOK)	Share price on date awarded	Vesting period	Options vested	Expiration date	Options exercised
Key management compensation in 2011									
Trygve Pedersen	Stay-on	4.1.11	470	20.00	12.20	31.12.12	188	31.12.13	-
Tommy Sundt	Stay-on	4.1.11	325	20.00	12.20	31.12.12	75	31.12.13	-
Arild Thorsrud	Stay-on	4.1.11	213	20.00	12.20	31.12.12	21	31.12.13	-
Gregor Maxwell	Stay-on	4.1.11	350	20.00	12.20	31.12.12	94	31.12.13	-
Chris Spencer	Stay-on	4.1.11	275	20.00	12.20	31.12.12	31	31.12.13	-
Per Anders Muri	Stay-on	4.1.11	213	20.00	12.20	31.12.12	31	31.12.13	-
Total			1845				440		

In January 2011 Rocksource ASA announced the award of 1,405,417 options to the management team to purchase ordinary shares of the Company at a strike price of NOK 20 per share. Existing and vested options already issued was changed to be in line with the terms of the new scheme. The options were earned by retained employment with the Company at 31 December 2012. The total of 1,845,000 options to the Rocksource key management were distrib-

uted as specified in the table above. Following termination of employment 820,000 options were lost in 2012, which means that as of 31 December 2012 1,025,000 options have been vested and are outstanding under the management program. If the Company is merged with another company, delisted or someone acquires more than 50 per cent of the shares the strike price of these options will be equal to the nominal value of the shares.

STAY-ON INCENTIVE SCHEME

To retain a competent organisation, a stay-on incentive scheme was introduced in 2011 to create a mechanism where the organisation would participate in the commercial success of Rocksource. Part of this scheme consisted of cash bonuses linked to the share price development with trigger points when the share price exceeded NOK 20.00, NOK 30.00 and NOK 40.00 per share. Further the scheme also included a change of control clause that would trigger the highest payout if an investor puts forward an offer for all the shares in the Company and pursuant to the offer acquires more than 50 per cent of the shares in the Company. Since the vesting period expired 31 December 2012 without the share price exceeding any of the trigger points, the scheme is no longer active. No payouts have been made under this scheme and no new schemes have currently been introduced.

SIGN-ON OPTIONS

266,667 sign-on options have been granted and are outstanding with employees employed or previously employed in Rocksource ASA and Rocksource Geotech AS as of 31 December

2012. The strike prices for the options are NOK 12.00 - 20.00 per share. No sign-on options have been awarded in 2012 and no commitments have been made for future awards as of year-end 2012.

STAY-ON OPTIONS

As part of an incentive scheme introduced in 2011 a total of 990,165 options with a strike price of NOK 40.00 per share were awarded to employees. Since the vesting period expired 31 December 2012 without meeting the criteria for vesting the options, there are no outstanding stay-on options as of 31 December 2012.

BONUS OPTIONS

The Group has a bonus incentive scheme for all employees. Bonus is awarded based on certain performance criteria and can be paid in options or in cash, at the discretion of the Board. No bonus options have been awarded in 2011 or 2012 and there are no outstanding bonus options as of 31 December 2012.

SUMMARY OF ALL OPTION PROGRAMS

	Average strike price in NOK per share	Number of options in 1000	Weighted average maturity period in years
1 January 2012	26.18	2 972	1.80
Awarded	-	-	
Lost	-26.13	-1 199	
Exercised	-	-	
Expired	-38.37	-641	
31 December 2012	19.35	1 133	0.97
1 January 2011	16.20	751	1.11
Awarded	28.16	2 414	
Lost	-22.52	-72	
Exercised	-5.56	-53	
Expired	-15.15	-67	
31 December 2011	26.18	2 972	1.80

The fair value of the services received for the granted options is measured with reference to the fair value of the granted share options. The estimated fair value of the services received is measured on the basis of the Black-Scholes model. Significant input in the model includes the share price at the grant date, the exercise price, the forecasted volatility of 50 to 70 per cent, which is based on the volatility of the share on the Oslo Stock Exchange and a risk free interest rate equal

to the rate of interest on government bonds with the same maturity as the options upon award. Expensed, share-based compensation (excluding employer's social security contributions) for the Group is an income of NOK 3.4 million in 2012 due to reversal of previously expensed cost (cost of NOK 4.1 million in 2011). The option costs are charged against profit and loss and credited other paid-in equity.

REMUNERATION PAID TO THE BOARD OF DIRECTORS IN ROCKSOURCE ASA

Figures in 1000		Role	2012	2011
Henrik A. Christensen	Chairman (from 27.4.12)		338	–
Mimi K. Berdal	Chairman (until 27.4.12)		450	475
Marianne E. Johnsen	Board member		491	280
Ole Wiborg	Board member		490	315
Helge Ringdal	Board member (from 27.4.12)		210	–
Eva von Hirsch	Board member (from 27.4.12)		210	–
Nick Johnson	Board member (from 14.6.12), deputy member (from 27.4 to 14.6.12)		210	–
Susan Graham	Board member (from 14.6.12)		210	–
Bjarte Fagerås	Board member (until 27.4.12)		280	305
Ole Nygaard	Board member (until 27.4.12)		280	305
Total			3 168	1 680

The Annual General Meeting (AGM) decided that remuneration to the Board of Directors should be determined for the coming year, rather than in arrears as done in previous years. Further the AGM decided that the remuneration would be paid in quarterly installments. Due to these changes the table

above reflects the actual payments in 2012 and will therefore not be identical to the remuneration agreed in the AGM. It was agreed that the annual remuneration for the Chairman was NOK 450 000 (2011: NOK 450 000) and for the board members NOK 280 000 (2011: NOK 280 000).

REMUNERATION PAID TO THE AUDIT COMMITTEE IN ROCKSOURCE ASA

Figures in 1000		Role	2012	2011
Ole Wiborg	Chairman		131	75
Mimi K. Berdal	Committee member (until 27.4.12)		50	40
Marianne E. Johnsen	Committee member		88	40
Total			269	155

The Annual General Meeting (AGM) decided that remuneration to the Audit Committee should be determined for the coming year, rather than in arrears as done in previous years. Further the AGM decided that the remuneration would be paid in quarterly installments. Due to these changes the

table above reflects the actual payments in 2012 and will therefore not be identical to the remuneration agreed in the AGM. It was agreed that the annual remuneration for the chairman was NOK 75 000 (2011: NOK 75 000) and for the committee members NOK 50 000 (2011: NOK 50 000).

REMUNERATION PAID TO THE NOMINATION COMMITTEE IN ROCKSOURCE ASA

Figures in 1000		Role	2012	2011
Bjarte Fagerås	Chairman (from 14.6.12)		–	–
Einar Fr. Semb	Chairman (until 14.6.12)		75	75
Thorhild Widvey	Committee member (from 13.5.11)		45	–
Keith Myers	Committee member (from 13.5.11)		–	–
Hege Anfindsen	Committee member (until 13.5.11)		–	10
Berge Gerdt Larsen	Committee member (until 13.5.11)		–	10
Total			120	95

The remuneration to the Nomination Committee is decided in arrears by the Annual General Meeting (AGM). The annual remuneration in 2011 for the Chairman was NOK 75 000 and for the Nomination members NOK 45 000.

NOTE 22 ACCOUNTING ESTIMATES

GOODWILL

Note 8 gives information regarding assumptions and associated risk factors related to the impairment testing of goodwill. The Group will at all times make sure that the value represented by the booked goodwill is valid. When discounting future cash flow, there is a considerable use of estimates in the calculations, including but not limited to interest rates, exchange rates and future value creation. At year-end, NOK 10.0 million was booked as goodwill after a write-down of NOK 93.0 million in 2012.

DEFERRED TAX ASSET

Following the completion of the reorganisation of the Group at year-end 2012 the deferred tax assets in Rocksource ASA related to offshore activities on the NCS will be refunded in 2013. Based on the tax assessment for years up to and including 2011 and the preliminary calculations for 2012 the refund expected in December 2012 related to closing down

the activities on the NCS in Rocksource ASA amounts to NOK 96.0 million. The refund of the tax values of uncovered loss is booked as tax receivable NCS in the consolidated statements of financial position.

The Group has in 2012 not recognised deferred tax assets in the balance sheet related to tax loss carried forward on onshore activities in Rocksource ASA and Rocksource Geotech AS. Further, the Group has not recognised deferred tax assets related to net operating loss in the subsidiaries in the UK and in the US.

COMMITMENTS

There is considerable uncertainty related to the commitments that the Group has in its offshore licences. In a licence, a work programme, defining different commitments, forms the basis for maturing the Group's assets. There is uncertainty related to the costs of these elements as well as to future development plans in each licence (ref. notes 16 and 17).

NOTE 23 DISCONTINUED OPERATIONS

In 2011 Rocksource sold the US onshore production fields to a Texas-based oil and gas company. The US onshore assets, were recorded as "assets classified as held for sale" in the consolidated statements.

The net proceeds from the sale were approximately USD 3.5 million and the sale had a marginal positive effect in the profit and loss statement of NOK 1.3 million in 2011. The net proceeds from the sale was used to make a partial early redemption of the bond loan in 2011. The transaction had no tax effect.

Figures in NOK 1000

	2012	2011
Results from discontinued operations		
Revenue	-	14 217
Gain from sale of assets	-	1 336
Operating expenses oil and gas	-	-5 473
Exploration expenses	-	-12
Other general and administrative expenses	-	-2 794
Depreciation, amortisation and impairment	-	-7 950
Income tax	-	-
Net profit/(loss) from discontinued operations	-	-676

NOTE 24 OPERATING INCOME

Figures in NOK 1000

	2012	2011
Farm-down agreement	41 246	152 807
Sale of operating and processing services	14 333	33 227
Total	55 579	186 034

On 19 March 2012 Rocksource announced a strategic asset transaction with Valiant Petroleum Norge AS (Valiant). The transaction was subsequently completed following formal government approval 23 May 2012 and was completed according to §10-12 in the petroleum taxation act. The asset transaction with Valiant included the sale of 13 per cent interest in the Norvarg discovery and an average reduction of approximately 50 per cent in the Company's equity stakes in a further 12 exploration licences. The booked value of the licences were NOK 160.2 million with a deferred tax position of NOK 124.9 million. As consideration Valiant paid NOK 60 million in cash and will provide NOK 200 million to pay for Rocksource's share of future exploration expenses in the licences that Valiant farmed into (carry-fund). The carry-fund is not recognised in accordance with the Company's account-

ing policies. Licence approved exploration expenses under this carry-fund includes all exploration and appraisal wells, seismic or EM surveys, and study costs that the partnerships each joint venture agrees to carry out. The profit effect from the transaction of NOK 41.2 million (including working capital adjustments) is recorded as other operating income and the cash effect is recorded as cash flow from investing activities and amounts to NOK 76.5 million.

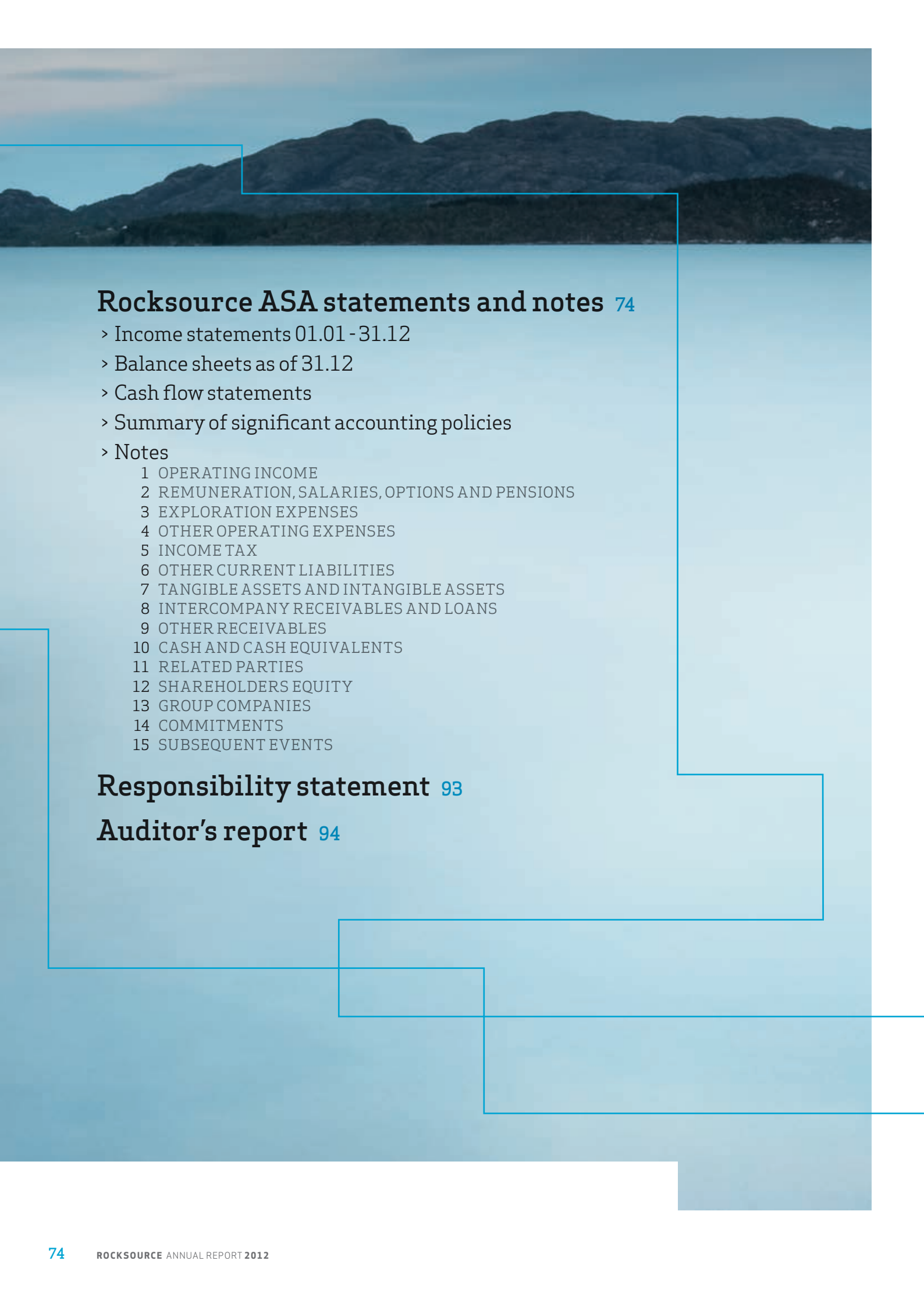
Effective date for the transaction was 1 January 2012 while the effective date for accounting purposes was 31 May 2012.

Other operating income in the second quarter 2011 was NOK 152.8 million, due to a farm-down agreement with Noble Energy.

NOTE 25 SUBSEQUENT EVENTS

STORBARDEN WELL IN PL 506S

On the 29 April 2013 Rocksource announced that the drilling rig "Borgland Dolphin" had completed drilling of the main reservoir and the secondary target at the high risk Storbarden prospect in PL 506S in the North Sea. The well did not encounter hydrocarbons. Following data acquisition and analysis the well will be plugged and abandoned. As of 31 December 2012 the Group did not carry capitalised cost related to PL 506S.



Rocksource ASA statements and notes 74

- > Income statements 01.01 - 31.12
- > Balance sheets as of 31.12
- > Cash flow statements
- > Summary of significant accounting policies
- > Notes
 - 1 OPERATING INCOME
 - 2 REMUNERATION, SALARIES, OPTIONS AND PENSIONS
 - 3 EXPLORATION EXPENSES
 - 4 OTHER OPERATING EXPENSES
 - 5 INCOME TAX
 - 6 OTHER CURRENT LIABILITIES
 - 7 TANGIBLE ASSETS AND INTANGIBLE ASSETS
 - 8 INTERCOMPANY RECEIVABLES AND LOANS
 - 9 OTHER RECEIVABLES
 - 10 CASH AND CASH EQUIVALENTS
 - 11 RELATED PARTIES
 - 12 SHAREHOLDERS EQUITY
 - 13 GROUP COMPANIES
 - 14 COMMITMENTS
 - 15 SUBSEQUENT EVENTS

Responsibility statement 93

Auditor's report 94

Income statements 01.01 - 31.12

Figures in NOK 1000 /NGAAP

Notes

2012

2011

OPERATING INCOME

Operating income	1	13 327	31 860
Other operating income	1	44 524	12 874

Total operating income		57 851	44 734
-------------------------------	--	---------------	--------

OPERATING EXPENSES

Exploration expenses	3	-109 005	-443 543
Depreciation and amortisation	7	-1 390	-1 613
Payroll and related costs	2	-50 363	-58 549
Other operating expenses	4	-56 150	-56 184

Total operating expenses		-216 908	-559 890
---------------------------------	--	-----------------	----------

Total operating profit/(loss)		-159 056	-515 156
--------------------------------------	--	-----------------	----------

FINANCIAL INCOME/(EXPENSES)

Interest income/(expenses) from Group companies	8	2 891	8 043
Group contribution		-	43 206
Other financial income		15 471	15 635
Net currency income/(loss)		-7 971	-8 685
Impairment of financial assets	8, 13	-222 106	-66 637
Other financial expenses	5 Group	-46 888	-28 423

Net financial income/(expenses)		-258 602	-36 861
--	--	-----------------	---------

Profit/(loss) before taxes		-417 658	-552 017
-----------------------------------	--	-----------------	----------

Income tax	5	147 057	385 598
------------	---	----------------	---------

Net profit/(loss)		-270 602	-166 419
--------------------------	--	-----------------	----------

Basic earnings per share (NOK) *	12 Group	-3.11	-1.98
----------------------------------	----------	--------------	-------

Diluted earnings per share (NOK) *	12 Group	-3.11	-1.98
------------------------------------	----------	--------------	-------

* 2011 Basic and diluted earnings per share adjusted for reverse split in 2012

Balance sheets as of 31.12

Figures in NOK 1000 / NGAAP

Notes

2012

2011

ASSETS

NON-CURRENT ASSETS

Intangible assets

Deferred tax assets	5	1 246	–
Capitalised exploration and acquisition costs	7	–	244 970

Total intangible assets		1 246	244 970
--------------------------------	--	--------------	---------

Tangible assets

Furniture, fixtures and office machines	7	2 735	3 255
---	---	--------------	-------

Total tangible assets		2 735	3 255
------------------------------	--	--------------	-------

Financial assets

Investments in subsidiaries	13	25 593	118 727
Investments in shares and funds		11	11
Loan to subsidiaries	8	50 446	176 271

Total financial assets		76 050	295 009
-------------------------------	--	---------------	---------

Total non-current assets		80 031	543 234
---------------------------------	--	---------------	---------

CURRENT ASSETS

Accounts receivable	9 Group	1 218	18 224
Tax-receivable NCS	5	238 588	563 994
Other receivables	9	3 324	7 321
Cash and cash equivalents, restricted guarantee	10	–	66 000
Cash and cash equivalents	10	84 388	159 856

Total current assets		327 518	815 395
-----------------------------	--	----------------	---------

Total assets		407 549	1 358 629
---------------------	--	----------------	-----------

Figures in NOK 1000 /NGAAP

Notes

2012

2011

EQUITY AND LIABILITIES**EQUITY**

Share capital	12	8 706	348 222
Treasury shares	12	-22	-25
Share premium reserve	12	-	135 517
Additional paid-in capital	12	201 036	-

Total equity		209 720	483 714
---------------------	--	----------------	---------

Liabilities**Non-current liabilities**

Deferred tax	5	-	147 723
Loan from subsidiaries	8	13 122	17 336

Total non-current liabilities		13 122	165 059
--------------------------------------	--	---------------	---------

Current liabilities

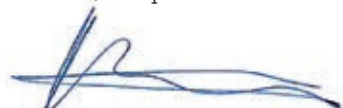
NCS credit facility	18 & 19 Group	120 240	551 721
Bond loan	18 & 19 Group	-	128 982
Accounts payable		8 195	13 261
Public duties payable		-	2 516
Short term liabilities to subsidiaries	7	53 547	-
Other current liabilities	6	2 726	13 375

Total current liabilities		184 708	709 856
----------------------------------	--	----------------	---------

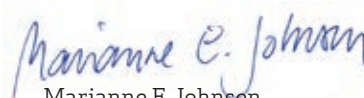
Total liabilities		197 830	874 915
--------------------------	--	----------------	---------

Total equity and liabilities		407 549	1 358 629
-------------------------------------	--	----------------	-----------

Oslo, 30 April 2013


 Henrik A. Christensen
 Chairman


 Eva von Hirsch
 Board Member


 Marianne E. Johnsen
 Board Member


 Nick Johnson
 Board Member


 Ole Wiborg
 Board Member


 Helge Ringdal
 Board Member


 Susan Graham
 Board Member


 Chris Spencer
 Chief Executive Officer

Cash flow statements

Figures in NOK 1000 / NGAAP

Notes

2012

2011

OPERATIONAL ACTIVITIES

Profit/(loss) before tax		-417 658	-552 017
Repayment following the ruling of the OTB	6 Group	-48 325	-
Tax refund NCS exploration expenses	5	564 003	160 173
Depreciation, amortisation and impairment of intangible assets	7	1 390	1 613
(Gain)/loss from sale of assets	7, 24 Group	-41 246	-
Expensed exploration and acquisition costs		-	17 222
Impairment of financial assets	8, 13	222 106	-
Share-based remuneration	2	-3 393	3 779
Changes in accounts receivable		17 006	-9 195
Changes in accounts payables and other payables		35 316	-15 922
Changes in other current balance sheet items		8 141	-13 433

Net cash flow from operational activities

337 340 -407 781

INVESTING ACTIVITIES

Net investments in assets	7, 24 Group	74 142	-241 801
Other investments/cash flow from changes to the Group		11 611	71 725

Net cash flow from investing activities

85 753 -170 076

FINANCING ACTIVITIES

Proceeds from issuance of short term debt		99 900	555 000
Repayment of short term debt	18 & 19 Group	-663 770	-209 804
Restricted bank deposit, guarantee NCS credit facility	10	-	-66 000
Net capital increase	12	0	243 493

Net cash flow from financing activities

-563 870 522 689

Effect of changes in exchange rates on cash and cash equivalents		-689	1 763
--	--	-------------	-------

Net change in cash and cash equivalents

-141 467 -53 404

Cash and cash equivalents 01.01		225 856	213 261
---------------------------------	--	----------------	---------

Cash and cash equivalents 31.12	10	84 388	159 856
Cash and cash equivalents, restricted guarantee	10	-	66 000

Total cash and cash equivalents 31.12	10	84 388	225 856
--	----	---------------	---------

Summary of significant accounting policies

The financial statements for Rocksource ASA are prepared in accordance with the Norwegian Accounting Act and generally accepted accounting principles in Norway (NGAAP).

USE OF ESTIMATES

The preparation of the financial statements requires the management to make considerations and estimates with assumptions that influence the application of accounting principles and recognised amounts relating to assets, liabilities, income and expenses. Actual results may differ from the estimates.

Estimates and underlying assumptions are continuously evaluated.

FUNCTIONAL CURRENCY

The financial statements are presented in NOK, which is the functional and presentation currency of the Company.

REVENUE RECOGNITION

Received income from services is recorded in the financial statements according to the level of completion. At completion, the revenue recognition is in accordance with the Company's general revenue recognition principles.

CLASSIFICATION OF ITEMS IN THE BALANCE SHEET

Current assets and short term liabilities include items due within one year from draw-down and items related to the operating cycle. Other balance sheet items are classified as non-current assets/long term liabilities.

NON-CURRENT ASSETS AND LONG TERM LIABILITIES

Furniture, fixtures and office machines are valued at historical cost, less depreciation and impairment losses. Depreciation is calculated on a straight-line basis over estimated useful life, adjusted for residual value and impairment charges. Long term liabilities are recognised at nominal value.

OIL AND GAS PROPERTIES

Acquisition of licences

A licence acquired during the year is included in the consolidated financial statements from the date on which control is transferred to the Company, which normally is at the time necessary governmental approval is obtained.

Exploration and development cost

The exploration and development costs for oil and gas properties are accounted for according to the "successful effort" method. All exploration costs, with the exception of acquisition costs of licences and drilling costs of wells are expensed as incurred. Development costs (including licences and drilling costs of exploration wells) are temporarily capitalised as an intangible asset, pending the evaluation of whether economically recoverable reserves have been found. The assets are after impairment testing reclassified to tangible assets when technical feasibility and commercial viability can be demonstrated.

Capitalised costs

Capitalised costs for oil and gas properties are depreciated using the unit-of-production method. The rate of depreciation is equal to the ratio of oil and gas production for the period to prove and probable developed reserves. In addition to capitalised costs, estimated future investments that have been considered in the calculation of the Company's reserve, are added to the basis for depreciation.

CURRENT ASSETS AND SHORT TERM LIABILITIES

Current assets are valued at the lower of cost and fair value. Short term liabilities are recognised at nominal value.

FINANCIAL CURRENT ASSETS

Derivative financial instruments are recorded at the lower of estimated market values and historical costs. Unrealised losses are expensed and unrealised gains are not taken to income.

SUBSIDIARIES AND INVESTMENTS IN ASSOCIATED COMPANIES

Subsidiaries and investments in associates are valued at cost in the company accounts. A write-down to fair value will be performed if the impairment is not considered to be temporary, and an impairment charge is deemed necessary according to generally accepted accounting principles. Subsidiaries are entities where the Company has the power to govern the financial and operating policies generally accompanying a shareholding of more than 50 % of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Company controls another entity. Associates are entities where the Company's influence is considered material, but does not by itself give full control over the companies' assets (normally when the Company owns 20%-50% of the company). A specification of subsidiaries is included as a separate note.

FARM-IN/FARM-OUT

A farm-in/farm-out involves a situation where the owner of a working interest (the farminor) transfers all or a portion of an interest to another party (the farminee) in return for a farminee's performance of some agreed upon action. In the development phase, a farm-in /farm-out agreement will be treated as a transaction recorded at cost as represented by the costs borne by the farminee. A farm-in agreement is recognised when the risk and reward is transferred from the farminor, which normally is at the time necessary governmental approval is obtained in accordance with the Group's principle.

FOREIGN CURRENCY

Transactions in foreign currency are translated at the rate applicable on the transaction date. Monetary items in a foreign currency are translated into Norwegian Kroner using the exchange rate applicable on the balance sheet date.

RECEIVABLES

Accounts receivable and other current receivables are recorded in the balance sheet at nominal value less provisions for doubtful accounts. Provisions for doubtful accounts are based on an individual assessment of the different receivables.

CASH AND CASH EQUIVALENTS

Cash and cash equivalents with an original maturity of three months or less include bank deposits, and are recorded at nominal value in the financial statements. Restricted deposits are included in the item.

BENEFITS TO EMPLOYEES

Post-employment benefits

The Company runs a contribution based pension scheme for all employees. The Company records pension schemes according to the Norwegian accounting standard for pension cost. Defined contribution plans are accounted for according to the matching principle. Contributions to the pension plan are recorded as expenses.

Share-based remuneration

The Company operates an equity-settled, share-based compensation plan where employees and other key personnel are granted options to buy shares in the Company. Fair value of granted options is recognised at cost with a corresponding increase in equity. Fair value of granted options is measured at the date at which they are granted, and the cost is recognised over the period in which the performance conditions are fulfilled, ending on the date on which they become fully entitled to the award ("vesting date"). The fair value is determined by using the Black-Scholes model that takes terms and conditions into consideration. Volatility is calculated based on historic developments in the share price. If the share options are vested at the grant date, fair value of granted options is recorded as an expense in the financial statements at the grant date.

INCOME TAXES

The tax expense consists of the tax payable and changes to deferred tax. Tax payable and deferred taxes are recognised directly in equity to the extent that they relate to equity transactions.

Deferred income tax is provided using the liability method on temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates at the balance sheet date. Deferred tax is recognised at nominal values.

Deferred tax/tax assets are calculated on all taxable temporary differences except goodwill. Tax-increasing and tax-decreasing temporary differences, as well as tax losses carried forward that are offset or can be offset in the same period, are recorded net, and are the basis for deferred tax assets for the Company. Net deferred tax assets are recognised as intangible assets and net deferred tax liabilities are recognised as long term liabilities. Deferred tax assets are recognised to the extent that sufficient taxable profit will be available to allow the deferred tax assets to be utilised.

Oil companies that operate on the Norwegian Continental Shelf are subject to the Norwegian oil taxation regime. Under this regime oil companies that are not in a taxable position can claim a 78 per cent refund of its exploration costs, limited to the taxable loss for the current year. The deferred tax can only be netted off within each tax regime.

PURCHASE OF TREASURY SHARES

When purchasing treasury shares, the purchase price, including direct costs incurred, is recorded as a change in equity. The nominal treasury shares are deducted from share capital. Differences between the nominal value and the purchase price of treasury shares, together with any losses or gains, are recorded directly against shareholders' equity.

PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

Accounting for conditions with uncertain results shall represent best estimates and should be calculated from a probability estimate. In the case of probability that an uncertain liability will be due, and the value of the liability can be reasonably measured, the liability shall be recognised in the financial statements. Regardless of the effect on the financial statements, material provisions, contingent liabilities and contingent assets are disclosed in notes.

CASH FLOW STATEMENTS

The Company reports its cash flow statements in accordance with the indirect method. Cash and cash equivalents includes cash, bank deposits and other short term, highly liquid investments with maturities of three months or less.

NOTE 1 OPERATING INCOME

Figures in NOK 1000

	2012	2011
Farm-down agreement	41 246	–
Sale of operating and processing services	13 327	31 860
Other intercompany sale	3 278	12 874
Total	57 851	44 734

Other operating income consists of intercompany invoicing between Rocksource ASA and the subsidiaries in the Group. The intercompany invoicing is based on time spent and on intercompany agreements with arm's length principles. For more information see note 20 in the Consolidated financial

statements. Sale of operating and processing services to external parties are booked as sales.

For information regarding the asset transaction with Valiant, see note 24 in the consolidated financial statements.

NOTE 2 REMUNERATION, SALARIES, OPTIONS AND PENSIONS

Figures in NOK 1000

	2012	2011
Salaries, bonuses and holiday pay	-43 406	-43 004
Social security costs	-6 979	-7 308
Pensions	-1 963	-1 910
Share-based remuneration	2 661	-3 779
Other employee costs	-676	-2 548
Total	-50 363	-58 549
Number of man years	31.0	34.4

PENSIONS

The Company is obligated to follow the Act on Mandatory company pensions in Norway. The Company's defined contribution scheme follows the requirement as set in the Act on Mandatory company pension.

COMPENSATION AND SHARE-BASED REMUNERATION TO KEY MANAGEMENT IN 2012

Key management in Rocksource Group consists of the same persons who are considered to be the key management in Rocksource ASA (Parent Company in 2012). Information regarding compensation and share-based remuneration to the key management in 2012 has been disclosed in note 21 in the consolidated financial statements.

STAY-ON INCENTIVE SCHEME

To retain a competent organisation, a stay-on incentive scheme was introduced in 2011 to create a mechanism where the organisation would participate in the commercial success of Rocksource. Part of this scheme consisted of cash bonuses linked to the share price development with trigger points when the share price exceeded NOK 20.00, NOK 30.00 and NOK 40.00 per share. Further, the scheme also included a change of control clause that would trigger the highest payout if a investor puts forward an offer for all the shares in the Company and pursuant to the offer acquires more than 50 per cent of the shares in the Company. Since the vesting period expired 31 December 2012 without the share price exceeding any of the trigger points, the scheme is no longer active. No payouts have been made under this scheme and no new schemes have currently been introduced.

SHARE-BASED REMUNERATION

Sign-on options

Under the option scheme approved by the Annual General Meeting on 26 May 2010, employees in the Norwegian companies have received sign-on options. Sign-on options are vested equally each year for 3 years and can be exercised one year following the grant date at the earliest. All options are settled through equity transactions. In 2011 the sign-on option scheme was discontinued and replaced by a stay-on scheme.

As of year-end 2012 a total of 85,417 sign-on options were outstanding with other employees previously employed in Rocksource ASA. The strike prices for the options are NOK 12.00 - 15.20 per share.

Stay-on options

As part of the stay-on incentive scheme introduced in 2011 employees received options with a strike price of NOK 40.00 per share. In total 823,123 options were awarded. Since the vesting period expired 31 December 2012 without meeting the criteria for vesting the options, there are no outstanding stay-on options as of 31 December 2012.

BONUS AND BONUS OPTIONS

The Company has a bonus incentive scheme for all employees in Rocksource ASA. Bonus is awarded based on certain performance criteria and can be paid in options or in cash, at the discretion of the Board. A bonus accrual of NOK 6.1 million has been reflected in 2012 (2011: NOK 0.0 million). No bonus options have been awarded in 2011 or 2012 and there are no outstanding bonus options as of 31 December 2012.

SUMMARY OF ALL OPTION PROGRAMS

	Average strike price in NOK per share	Number of options in 1000	Weighted average maturity period in years
1 January 2012	25.52	2 760	1.83
Awarded	-	-	
Lost	-25.15	-1 120	
Exercised	-	-	
Expired	-38.83	-533	
31 December 2012	-19.50	1 108	0.97
1 January 2011	16.92	643	1.07
Awarded	27.24	2 247	
Lost	-26.88	-52	
Exercised	-6.76	-30	
Expired	-18.12	-48	
31 December 2011	25.52	2 760	1.83

In addition 25,000 options were outstanding with employees in Rocksource Geotech AS as of year-end.

The fair value of the services received for the granted options is measured with reference to the fair value of the granted share options. The estimated fair value of the services received is measured on the basis of the Black-Scholes model. Significant input in the model are the share price at the grant date, the exercise price, the forecasted volatility (50 to 70 per cent), which is based on the volatility of the share on the Oslo Stock Exchange and a risk free interest rate equal to the rate of interest on government bonds with the same maturity as the options upon award. Expensed share-based compensation (excluding employers' social security contributions) for the Company is an income of NOK 2.7 million in 2012 due to reversal of previously expensed cost (cost of NOK 3.8 million in 2011). The option costs are charged against profit and loss and credited additional paid-in capital.

Fees paid to the Board members, see note 21 in the consolidated financial statements.

PRESENTATION OF THE BOARD OF DIRECTORS' DECLARATION OF REMUNERATION POLICY FOR THE EXECUTIVE MANAGEMENT FOR THE COMING YEAR

In accordance with the Norwegian Public Limited Liability Companies Act section 6-16 cf. section 5-6 third paragraph, the General Meeting shall discuss the Board of Directors' declaration of remuneration policy for the executive management. The Board of Directors' declaration is as follows:

1) Remuneration policy for the executive management for 2013

The Board of Directors in Rocksource is responsible for determining the remuneration of the Chief Executive Officer (CEO). The CEO is, together with the Board of Directors, responsible for the remuneration of the management team. In March 2013 the Board of Directors resolved to establish a Remuneration Committee consisting of board members with a particular experience in remuneration for oil and gas companies. This committee will be responsible for developing recommendations related to remuneration of all staff (including the CEO and executive management) for consideration by the Board of Directors.

When defining the criteria used as the basis for determining the remuneration the underlying principle is that compensation should reflect the responsibility and duties resting with the team members, and that the employee is motivated to create long term value for the Rocksource Group (Group) and its shareholders. It is important that the Group offers a competitive overall remuneration package (salary, incentive scheme, pension, insurance, etc.) to attract the skills and competencies required to support the strategic development of the Group.

The CEO and the management team participate in the standard pension and insurance schemes applicable to all employees. The Group uses standard employment contracts together with standard terms and conditions regarding notice period and severance pay for the CEO and the management team. The Board of Directors has not defined an upper or lower limit for the salary of the management team except for the principles stated above.

The Board of Directors wishes to include exposure to the Group's share price in the remuneration of management and staff. The Board of Directors believes that this will result in the alignment of both the Group and shareholder objectives. The final form of this scheme remains to be finalised, but the aim is to confirm and implement it within 2013.

2) The remuneration policy for the executive management in 2012 was in accordance with the policy that was taken into consideration by the Annual General Meeting in 2012.

3) The consequences for the Company and the shareholders of the previously awarded share options are described in the Annual Report.

An advisory vote is called for on the Board of Directors' remuneration policy for the executive management in 2013, as described in paragraph (1) above. The Board of Directors therefore proposes that the General Meeting passes the following resolution:

The General Meeting gave its support to the Board of Directors' remuneration policy for the executive management in 2013 into consideration.

NOTE 3 EXPLORATION EXPENSES

Figures in NOK 1000

	2012	2011
Seismic acquisitions and analysis	-51 053	-20 976
Electromagnetic surveys	-46 868	-6 934
Other exploration expenses	-15 292	-21 200
Exploration expenses, capitalised in previous year	-	-17 222
Exploration expenses, dry wells current year	4 207	-377 211
Total	-109 005	-443 543

In accordance with the successful effort method, the previously capitalised exploration expenses are reclassified to exploration expenses in the income statement when the drilling results are negative.

A significant part of the exploration expenses in 2012, NOK 89.5 million, relates to the purchase of multi-client seismic and EM data. These data acquisitions have been applied to evaluate and access licences in the current 22nd round, and will be applied for future NCS licensing rounds and farm-in assessments.

The exploration expenses for 2012 are presented after taking into account expenses of NOK 18.4 million carried by Valiant, see note 3 in the consolidated financial statements.

Total exploration expenses in 2011 related to dry wells on the PL 530, PL 559 and PL 416 were NOK 377.2 million.

NOTE 4 OTHER OPERATING EXPENSES

Figures in NOK 1000

	2012	2011
Intercompany services	-11 944	-6 671
Professional services	-27 159	-18 747
Office expenses, office leases, IT development and similar	-15 688	-18 563
Travel	-2 660	-3 835
Other expenses	1 302	-8 368
Total	-56 150	-56 184

Indirect exploration expenses are not reclassified. Indirect exploration expenses were NOK 76.0 million in 2012 (2011: NOK 67.7 million).

The Company leases office facilities, IT machinery, and one company car. Total lease commitments as of year-end 2012 was NOK 4.2 million for 2013 and NOK 2.7 million for the period from 2014 to 2017.

Other expenses is a net income of NOK 1.3 million due to a reversal of previously expensed costs.

AUDITOR FEES

Figures in NOK 1000 (excluding VAT)

	2012	2011
Auditor fee	-775	-825
Other financial auditing	-348	-239
Attesting services	-24	-290
Other advisory services	-20	-
Tax advisory services	-75	-35
Total	-1 243	-1 388

NOTE 5 INCOME TAX

Figures in NOK 1000

	2012	2011
SPECIFICATION OF THE BASIS FOR TAX PAYABLE		
Profit/(loss) before taxes	-417 658	-552 017
+ Tax effect of permanent differences	-82 799	-41 743
+ Change in temporary differences	289 523	-342 148
= Basis for tax payable	-210 935	-935 907
Tax income/(loss) related to NCS, 78%/28% ¹⁾	-205 983	-173 451
Tax income/(loss) related to onshore activities	-4 952	-762 457
SPECIFICATION OF THE YEAR'S TAX EXPENSES/(INCOME)		
Current taxes, refund exploration expenses NCS ²⁾	-238 588	-563 994
Current taxes, refund previous years ³⁾	48 316	3 725
Deferred tax	43 216	174 671
= Total tax expenses/(income) for the period	-147 057	-385 598
Tax rate 31.12	28%/78%	28%/78%
Effective tax rate related to the NCS	35.2 %	69.9 %
DEFERRED TAX/DEFERRED TAX ASSETS IN NORWAY		
Non-current assets/accruals, 78%	2 255	-242 557
Non-current assets/accruals, 28%	-1 831	52 877
Tax losses carried forward, onshore activities, 28%	20 615	182 845
Tax losses carried forward, NCS 28%	-	114 928
Tax losses carried forward, NCS 50%	-	20 863
= Basis deferred tax assets Norway	21 038	128 957
Deferred tax assets recognised in the financial statements	1 246	-
Deferred tax recognised in the financial statements	-	-147 723
Deferred tax assets not recognised in the financial statements (28%)	5 772	67 065

- 1) Exploration companies operating on the Norwegian Continental Shelf can claim a 78 per cent refund of their exploration expenses
- 1) Exploration companies operating on the Norwegian Continental Shelf can claim a 78 per cent refund of their exploration expenses limited to the taxable loss for the year.
- 2) Refundable tax, 78 per cent of the exploration expenses on the Norwegian Continental Shelf of NOK 142.2 million. The remaining NOK 96.4 million of the refund relates to the payout of the tax values of uncovered losses.
- 3) Tax provision of NOK 48.3 million related to changes to the assessment of the tax returns for 2007-09 was established reflecting the ruling in the Oil Taxation Board (OTB), for further details see note 6 – income tax in the consolidated financial statements.

There is no time limit on the right to carry tax losses forward in Norway. When the Company closes down the activity on the NCS, the tax value of any unused tax losses carried forward related to the NCS will be refunded in cash to the Company.

TAX REFUND ON THE NORWEGIAN CONTINENTAL SHELF – REFUND OF DEFERRED TAXES FOLLOWING A RESTRUCTURING

In October 2012 Rocksource announced the decision to reorganise the corporate structure of the Rocksource Group. The Company would transfer all its activities on the NCS including licences, all related assets, contracts and personnel into the entity Rocksource Exploration Norway AS, a fully owned subsidiary of Rocksource ASA. The aim of the reorganisation was to create a Group structure more aligned with its operations and the areas in which it operates. The new structure provides added flexibility and will assist the Company as it endeavors to deliver further growth. The reorganisation was completed as planned at year-end 2012.

The tax effect from the restructuring 31 December is that the tax values of uncovered losses will be paid out in cash in December 2013. This is a consequence of discontinuing all the NCS related activities in Rocksource ASA.

The tax refund is pledged as part of the exploration credit facility with SEB, and part of the tax refund has been pledged as guarantee in favour of certain vendors.

NOTE 6 OTHER CURRENT LIABILITIES

Figures in NOK 1000

	2012	2011
SPECIFICATION OF OTHER CURRENT LIABILITIES		
Accrued interest	107	1 983
Accrued employee benefits	2 126	7 463
Accrued expenses	493	3 929
Total	2 726	13 375

NOTE 7 TANGIBLE ASSETS AND INTANGIBLE ASSETS

Figures in NOK 1000

	Capitalised exploration and acquisition costs	Furniture, fixtures and office machines	Total
1 January 2012			
Cost	244 970	12 558	257 528
Accumulated depreciation and amortisation	-	-9 303	-9 303
Net book value	244 970	3 256	248 225
Period ended 31 December 2012			
Opening net book amount	244 970	3 256	248 225
Additions	1 421	870	2 291
Disposals	-246 390	-	-246 390
Depreciation and amortisation charge	-	-1 390	-1 390
Closing net book value	-	2 735	2 735
31 December 2012			
Cost	-	13 428	13 428
Accumulated depreciation and amortisation	-	-10 693	-10 693
Net book value	-	2 735	2 735
1 January 2011			
Cost	21 950	10 999	32 949
Accumulated depreciation and amortisation	-	-7 690	-7 690
Net book value	21 950	3 309	25 259
Period ended 31 December 2011			
Opening net book amount	21 950	3 309	25 258
Additions	240 242	1 559	241 801
Expensed exploration/acquisition costs	-17 222	-	-17 222
Depreciation and amortisation charge	-	-1 613	-1 613
Closing net book value	244 970	3 256	248 225
31 December 2011			
Cost	244 970	12 558	257 528
Accumulated depreciation and amortisation	-	-9 303	-9 303
Net book value	244 970	3 256	248 225
Economic useful life (years)		5 years	
Depreciation plan	Units-of-production	Linear	

Capitalised exploration and acquisition costs are not depreciated before start of production. An impairment test is performed annually and there were no impairment indicators in 2012. Of the capitalised amount of NOK 245 million in December 2011, NOK 244 million related to the Norvarg well in licence PL 535. As of year-end 2012 all remaining capitalised exploration and acquisition costs related to the NCS activities were transferred to a wholly owned subsidiary according to the restructuring described below.

According to the Valiant agreement 13 per cent of the Norvarg discovery was sold in May 2012. Further, following the internal restructuring 31 December the remaining book value of the NCS portfolio, mainly consisting of the remaining

7 per cent equity in the Norvarg discovery, was transfer to Rocksource Exploration Norway AS, a 100 per cent owned subsidiary of Rocksource ASA. As of 31 December the capitalised value of the NCS licences was NOK 86.2 million, which including deferred tax gives a net book value of NOK 19.0 million. The transfer of the NCS assets using the transfer of business principle means that the Company will have a receivable of NOK 19.0 million to Rocksource Exploration Norway AS as of year-end 2012, see note 8. Following a pro & contra settlement, where working capital related to the transaction is transferred between the companies, a short term liability of NOK 53.5 million is included in current liabilities.

NOTE 8 INTERCOMPANY RECEIVABLES AND LOANS

Figures in NOK 1000

	2012	2011
NON-CURRENT ASSETS		
Loan to Rocksource UK Ltd	393	–
Loan to Rocksource Energy Corporation	562	599
Loan to Rocksource Gulf of Mexico AS	30 500	158 691
Loan to Rocksource AGC (Profond) AS	–	16 911
Loan to Rocksource Exploration Norway AS	18 972	–
Loan to Rocksource AS	–	60
Loan to Rocksource ANS (in liquidation)	19	9
Total	50 446	176 271
NON-CURRENT LIABILITIES		
Loan from Rocksource AGC (Profond) AS	9 630	–
Loan from Rocksource Geotech AS	3 491	17 336
Total	13 122	17 336

Intercompany balances to Rocksource UK Ltd are denominated in GBP and intercompany balances to Rocksource Energy Corporation and Rocksource Gulf of Mexico AS are denominated in USD. The other intercompany balances are denominated in NOK.

The loan to Rocksource Gulf of Mexico AS has been impaired by NOK 129.0 million as of year-end 2012. The loan to Rocksource UK Ltd was impaired by NOK 56.7 million as of year-end 2011. Rocksource AS was liquidated in 2012.

Intercompany balances between Rocksource ASA and Rocksource Energy Corporation carry interest of 11 per cent per annum and balances between Rocksource ASA and Rocksource Geotech AS carry interest of NIBOR 12 month + 215 basis points. Intercompany balances between Rocksource ASA and the subsidiaries Rocksource UK Ltd,

Rocksource Gulf of Mexico Corporation and Rocksource AGC (Profond) AS carry no interest. Repayments of outstanding intercompany balances will be done when two parties agree on the repayment.

See note 20 in the consolidated financial statements for further information on intercompany invoicing.

Rocksource ASA holds a short term liability of NOK 53.5 million to Rocksource Exploration Norway AS which is due to a settlement of working capital related to the restructuring of the NCS activity, see note 7.

NOTE 9 OTHER RECEIVABLES

Figures in NOK 1000

	2012	2011
Receivables from joint venture licences related to operatorship	26	1 789
Prepayments	283	720
VAT receivable	2 262	-
Other short term receivables	753	4 812
Total	3 324	7 321

All the receivables have a maturity within one year and are denominated in NOK.

NOTE 10 CASH AND CASH EQUIVALENTS

Figures in NOK 1000

	2012	2011
Bank deposit, non-restricted	77 790	154 825
Bank deposit, restricted guarantee	-	66 000
Bank deposit, restricted	6 598	5 031
Total	84 388	225 856

Included in Item "Bank deposit, restricted" at 31 December 2012 is employee's tax deduction, interest reserve account and guarantee account. The amount is NOK 6.6 million for 2012 and NOK 5.0 million for 2011.

In 2011 the Item "Bank deposit, restricted as a guarantee" of NOK 66 million was a bank deposit guarantee to SEB Merchant Banking (SEB) related to the tax refund from

Oil Taxation Office. Please see note 6 in the consolidated financial statements regarding income tax and the ruling in the Oil Taxation Board for more information.

Cash and cash equivalents are denominated in NOK, GBP and USD. The carrying amounts of cash and cash equivalents are denominated as follows at year-end:

Figures in 1000	2012		2011	
	Foreign currency	NOK	Foreign currency	NOK
USD	12	66	3 592	21 523
GBP	48	428	434	4 026
NOK	-	83 894	-	200 307
Total		84 388		225 856

NOTE 11 RELATED PARTIES

See note 20 in the consolidated financial statements for further description of transactions with related parties.

NOTE 12 SHAREHOLDERS EQUITY

Figures in NOK 1000	Share capital	Treasury shares	Share premium reserve	Additional paid-in capital	Total equity
Balance at 1 January 2012	348 222	-25	135 517	-	483 714
Capital increase	0	-	-	-	0
Share-based remuneration	-	-	-	-3 393	-3 393
Transfers	-339 516	-	-135 517	475 034	-
Treasury shares, reversed split	-	3	-	-3	-
Net profit/(loss) for the period	-	-	-	-270 602	-270 602
Balance at 31 December 2012	8 706	-22	-	201 036	209 720
Balance at 1 January 2011	262 612	-25	136 492	-	399 079
Capital increase	85 610	-	170 558	-	256 168
Transaction costs, net of tax	-	-	-9 203	-	-9 203
Share-based remuneration	-	-	-	4 089	4 089
Transfers	-	-	-136 491	136 491	-
Net profit/(loss) for the period	-	-	-25 839	-140 580	-166 419
Balance at 31 December 2011	348 222	-25	135 517	-	483 714

SHARE CAPITAL

Number of shares in 1000	2012	2011
Issued as of 1 January	87 056	65 653
Issued against cash	-	21 403
Total number of shares	87 056	87 056
Share capital at 31 December	8 706	87 056

2011 adjusted for reverse split in 2012, see note 11 in the consolidated financial statements.

For information regarding the authorisation of the Board of Directors, treasury shares and dividends, see note 11 in the consolidated financial statements.

THE COMPANY'S LARGEST SHAREHOLDERS AT 31 DECEMBER 2012

Name of shareholder	Country	Number of shares	Share %
Larsen Oil & Gas AS	Norway	16 754 402	19.2 %
Petrolia Invest AS	Norway	2 796 315	3.2 %
Veen Eiendom AS	Norway	1 796 073	2.1 %
Balanced Rock AS	Norway	1 312 533	1.5 %
Helge Ringdal	Norway	1 278 125	1.5 %
Hsbc Bank PLC	UK	1 242 500	1.4 %
Net AS	Norway	935 871	1.1 %
Kjetil Langhelle	Norway	915 000	1.1 %
Brown Brothers Harriman And Co	USA	724 250	0.8 %
Nordnet Pensjonsforsikring	Norway	641 185	0.7 %
Jonny Hesthammer AS	Norway	625 000	0.7 %
Thomas Af Collins	USA	600 907	0.7 %
Rbc Investor Services Bank	Luxembourg	596 250	0.7 %
Ole Andre Baksaas	Norway	500 000	0.6 %
Meglerkonto Avanza Bank AB	Sweden	488 872	0.6 %
Nordnet Bank AB	Sweden	453 026	0.5 %
Greenwich Land Securities AS	Norway	436 947	0.5 %
Biovisjon Holding AS	Norway	432 638	0.5 %
Parmod Kumar Bhandari	Norway	420 500	0.5 %
Glaamene Industrier AS	Norway	372 155	0.4 %
Total top 20 shareholders		33 322 549	38.3 %
Other shareholders		53 732 951	61.7 %
Total		87 055 500	100.0 %

NOTE 13 GROUP COMPANIES

ASSET VALUE OF THE SUBSIDIARIES BOOKED IN THE COMPANY AS OF YEAR-END

Figures in NOK 1000	Ownership and voting interest (%)	2012	2011
Investments in Rocksource Energy Corporation	100 %	439	510
Shares in Rocksource Geotech AS	100 %	15 000	103 000
Shares in Rocksource UK Ltd	100 %	-	-
Shares in Rocksource AS (liquidated)	100 %	-	135
Shares in Rocksource I AS (liquidated)	100 %	-	54
Shares in Rocksource AGC (Profond) AS (in liquidation)	100 %	10 034	13 518
Shares in Rocksource Gulf of Mexico AS	100 %	-	1 510
Shares in Rocksource Exploration Norway AS	100 %	120	-
Investment in Rocksource ANS (in liquidation)	100 %	-	-
Total		25 593	118 727

See note 13 – Group companies in the consolidated financial statements.

After impairment tests as of year-end 2012, shares and investments have been impaired as follows: Rocksource Energy Corporation with NOK 0.1 million (2011: NOK 1.9 million), Rocksource Geotech AS with NOK 88.0 million (2011: NOK 6.7 million), Rocksource AGC (Profond) AS (in liquidation) with NOK 3.5 million (2011: NOK 0 million), Rocksource Gulf of Mexico AS with NOK 1.5 million (2011: NOK 0 million).

Rocksource AS and Rocksource I AS were liquidated in 2012.

NOTE 14 COMMITMENTS

See note 16 and note 17 in the consolidated financial statements for information regarding commitments and contingent items.

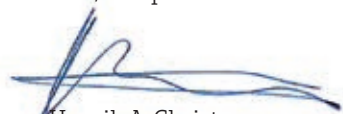
NOTE 15 SUBSEQUENT EVENTS

See note 25 – Subsequent events in the consolidated financial statements.

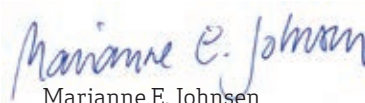
Responsibility statement

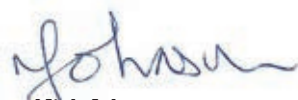
We confirm that, to the best of our knowledge that the financial statements for the period 1 January to 31 December 2012 have been prepared in accordance with current applicable accounting standards, and give a true and fair view of the assets, liabilities, financial position and result of Rocksource ASA and the Rocksource Group. We also confirm that the Board of Directors' report includes a true and fair review of the development, performance and financial position of Rocksource ASA and the Rocksource Group, together with a description of the principal risks and uncertainties that they face.

Oslo, 30 April 2013


 Henrik A. Christensen
 Chairman


 Eva von Hirsch
 Board Member


 Marianne E. Johnsen
 Board Member


 Nick Johnson
 Board Member


 Ole Wiborg
 Board Member


 Helge Ringdal
 Board Member


 Susan Graham
 Board Member


 Chris Spencer
 Chief Executive Officer

To the Annual Shareholders' Meeting of
Rocksource ASA

State Authorised Public Accountants
Ernst & Young AS

Dronning Eufemias gate 6, NO-0191 Oslo
Oslo Atrium, P.O.Box 20, NO-0051 Oslo

Business Register: NO 976 389 387 MVA

Tel.: +47 24 00 24 00

Fax: +47 24 00 24 01

www.ey.no

Member of the Norwegian Institute of Public
Accountants

AUDITOR'S REPORT

Report on the financial statements

We have audited the accompanying financial statements of Rocksource ASA, comprising the financial statements for the Parent Company and the Group. The financial statements of the Parent Company comprise the balance sheet as at 31 December 2012, the statements of income and cash flows for the year then ended and a summary of significant accounting policies and other explanatory information. The financial statements of the Group comprise the consolidated statement of financial position as at 31 December 2012, the statements of income, comprehensive income, cash flows and changes in equity for the year then ended as well as a summary of significant accounting policies and other explanatory information.

The Board of Directors' and Chief Executive Officer's responsibility for the financial statements

The Board of Directors and Chief Executive Officer are responsible for the preparation and fair presentation of these financial statements in accordance with the Norwegian Accounting Act and accounting standards and practices generally accepted in Norway for the financial statements of the Parent Company and the International Financial Reporting Standards as adopted by the EU for the financial statements of the Group, and for such internal control as the Board of Directors and Chief Executive Officer determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with laws, regulations, and auditing standards and practices generally accepted in Norway, including International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements for the Parent Company and the Group.

Opinion on the financial statements of the Parent Company

In our opinion, the financial statements of Rocksource ASA have been prepared in accordance with laws and regulations and present fairly, in all material respects, the financial position of the Company as at 31 December 2012 and its financial performance and cash flows for the year then ended in accordance with the Norwegian Accounting Act and accounting standards and practices generally accepted in Norway.

Opinion on the financial statements of the Group

In our opinion, the financial statements of the Group have been prepared in accordance with laws and regulations and present fairly, in all material respects, the financial position of the Group as at 31 December 2012 and its financial performance and cash flows for the year then ended in accordance with the International Financial Reporting Standards as adopted by the EU.

Report on other legal and regulatory requirements

Opinion on the Board of Directors' report and the statement on corporate governance

Based on our audit of the financial statements as described above, it is our opinion that the information presented in the Directors' report and the statement on corporate governance concerning the financial statements, the going concern assumption and the proposal for the allocation of the result is consistent with the financial statements and complies with the law and regulations.

Opinion on registration and documentation

Based on our audit of the financial statements as described above, and control procedures we have considered necessary in accordance with the International Standard on Assurance Engagements (ISAE) 3000, «Assurance Engagements Other than Audits or Reviews of Historical Financial Information», it is our opinion that the Board of Directors and Chief Executive Officer have fulfilled their duty to ensure that the Company's accounting information is properly recorded and documented as required by law and generally accepted bookkeeping practice in Norway.

Oslo, 30 April 2013
ERNST & YOUNG AS



Asbjørn Rødal
State Authorised Public Accountant (Norway)



rocksource.com

Bergen

Thormøhlensgate 53 D

Postboks 994 Sentrum

N-5808 Bergen

Norway

Phone: +47 05369

From abroad: +47 21 49 32 69

Fax: +47 55 36 87 98

Oslo

Haakon VII's gate 1

Postboks 1962 Vika

N-0161 Oslo

Norway

Phone: +47 05369

From abroad: +47 21 49 32 69

Fax: +47 22 83 40 02

rocksource@rocksource.com

Creative concept and design development King Design
Photo Bård Gudim, NTB Scanpix, Darius Lygnugaris